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1985 Annual Report *Fiscal Year Ended June 30, 1985*

SIDE

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CORPORATE PROFILE

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Tandy/Radio Shack manufactures and markets electronics for the home and office. The Company has the largest number of retail electronics outlets in the world—6,069 company-owned stores and 3,048 dealer/franchise locations in 83 countries.

A broad product line is sold and fully supported through four different types of stores. The Radio Shack-U.S. catalog lists approximately 2,700 items including audio and video products, telephones, radios, scanning receivers, citizens band equipment, security devices, electronic kits and games, clocks, antennas, parts and selected products from our computer line. These items are marketed by the regular full-line Radio Shack stores.

The Radio Shack-U.S. computer catalog lists more than 1,000 products marketed by Radio Shack *Plus* Computer Center stores, which are full-line Radio Shacks with expanded computer departments, and through Radio Shack Computer Centers, which specialize in computer and business products.

The fourth type of store is the combined Computer Center/Telephone Center, a full-line

computer facility that also specializes in business telecommunications equipment sales, leasing, installation and maintenance.

The authorized dealer/franchise network adds another dimension to our distribution system by allowing independent retailers to offer selections from our product line.

The Company also operates 226 technical repair centers nationwide. In addition, almost 60 Area Training and Support Centers offer a complete range of services to the business-oriented computer customer.

Tandy owns or participates in 30 factories in the United States, Asia, Canada and France. Nearly 39% of the products in our U.S. catalogs are built, assembled or packaged in Company plants.

Tandy recently entered the name-brand market for electronics and appliances through two acquisitions. Twenty-four audio-video-appliance stores, operating under the names of Scott, McDuff® and Santa, were added in April 1985, plus 207 VideoConcepts® stores, specializing in audio and video products, were acquired in August 1985.

About the Cover Photograph

The cover is a macro photo of the Realistic® System 800, a complete integrated stereo component system. On the tuner, where the station frequency would normally be displayed, we have superimposed the words

Technology-Service-Support, which is the theme of this report. The entire system is shown on page 25.

Dolby is a trademark of Dolby Laboratories Licensing Corp.



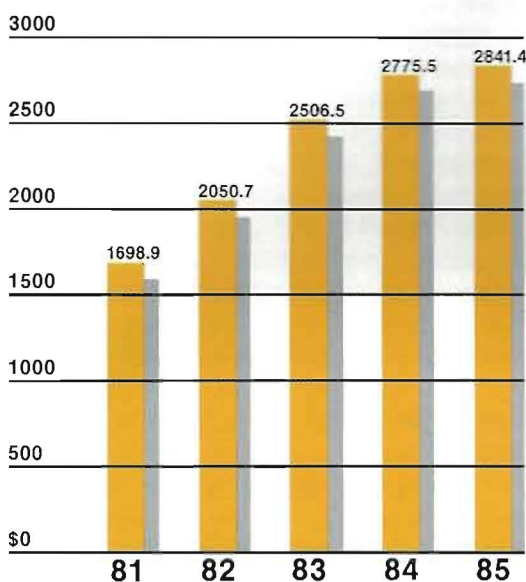
Pocket-sized color TV is here. The Realistic PocketVision®-20 has a fold-open, 2.6"-diagonal LCD screen that displays a vivid picture even in direct sunlight.

Year Ended June 30

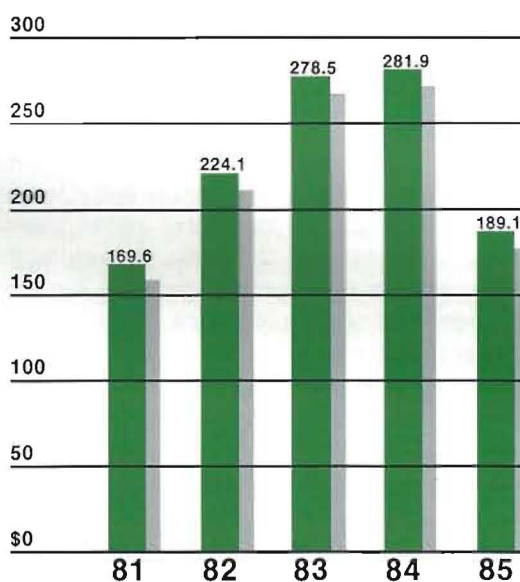
	1985	1984
Net sales and operating revenues (\$000)	\$2,841,434	\$2,775,496
Net income (\$000)	\$189,060	\$281,871
Net income per average common share	\$2.11	\$2.75
Return on average stockholders' equity	18.4%	26.7%
Average common shares outstanding (000)	89,490	102,328
Working capital (\$000)	\$1,081,740	\$953,165
Current ratio	3.88 to 1	4.46 to 1
Retail sales outlets	9,117	9,018
Stockholders and nominees of record	46,161	48,735

FINANCIAL HIGHLIGHTS

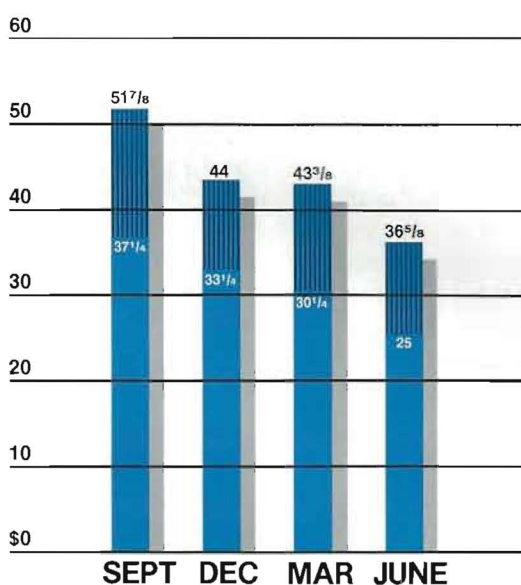
NET SALES AND OPERATING REVENUES
(IN MILLIONS OF DOLLARS)



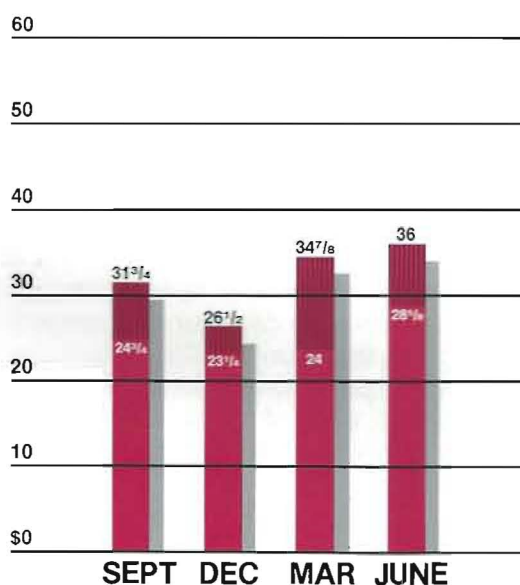
NET INCOME
(IN MILLIONS OF DOLLARS)



PRICES OF COMMON STOCK FISCAL 1984

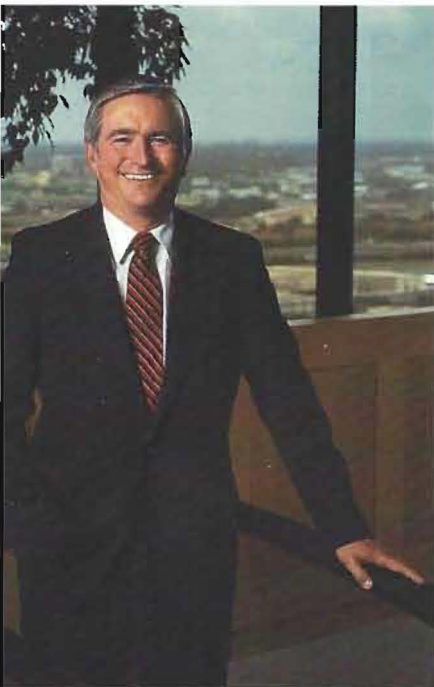


PRICES OF COMMON STOCK FISCAL 1985



The quarterly high and low prices of the common stock are based on the reported high and low sales prices reported in the composite transactions quotations of consolidated trading for issues on the New York Stock Exchange.

DEAR FELLOW STOCKHOLDERS



John V. Roach
Chairman of the Board,
Chief Executive Officer
and President

Your Company has just come through a very difficult year that included several undesirable "firsts" such as our first down year in earnings per share in the last 23 years and the first major inventory write-down in our history. However, we already appear well positioned for the future. Even though fiscal year 1986 could possibly be negatively impacted by general economic conditions and the unsettled state of the microcomputer industry, the year still presents a number of opportunities for good growth. In fact, our traditional consumer electronics business began the new fiscal year with double-digit sales gains in July and August.

To maximize our growth opportunities this year we have an array of impressive new products such as a satellite TV system and a transportable cellular telephone to name just two. Through technological advances and reduced prices for the semiconductors used in many of our products, we have been able to lower prices to offer the consumer even better values this year. One example is the Tandy 1000 PC-compatible computer whose lower price well-positions it in the marketplace. Also, we are continuing to improve the appearance of our Radio Shack stores and to project an even higher quality image in our advertising. Our service and support capabilities continue to give us a strong advantage. Overall, these factors give our well-trained salesmakers a competitive edge.

Microcomputer unit sales increased in fiscal 1985, but this unit growth was not matched by growth in dollars because of declines in the selling prices of these products. However, in recent months we have had a favorable impact on our microcomputer sales since completing the transition of most of our 16-bit machines to IBM compatibility. To improve our customer support system for both stores and customers we have established 60 Area Training Support Centers. The personnel in these centers are trained to solve problems and answer questions by phone or on-site in addition to providing installation, training and other on-site services for a relatively low cost. A more detailed description of the services offered through these Area Training and Support Centers is given on pages 9 and 10. The strength and speed of our customer service system is why we say with confidence—"Tandy...Clearly Superior."

As we look forward into fiscal 1986, many uncertainties are still present in microcomputers; but, we are a viable long-term participant in the industry because of our product assortment, broad-based software support, company-owned distribution system and one of the best service and support

organizations in the industry. We will continue to build on our existing customer base while actively promoting the advantages offered by our Radio Shack Computer Centers to more and more prospective computer customers.

During April 1985 Tandy entered the name-brand discount retailing business with the acquisition of Scott-McDuff, a chain of 24 audio-video-appliance stores. Additionally, after the close of the fiscal year we acquired 207 VideoConcepts stores. Strategically our goal is very simple. Our Radio Shack chain is the foremost private label retailer in the consumer electronics industry. Now, our new retailing endeavor will enable us to participate in a huge segment of the electronics and appliance industry in which Radio Shack is not a major factor. Products like large-screen television, microwave ovens and refrigerators simply have no place in Radio Shack's traditional retailing endeavors. So, our audio-video-appliance name-brand retailing will be done separately in 8,000 to 10,000 square foot stand-alone stores and 3,000 square foot mall stores. We will be addressing both major and secondary geographical markets to determine the most profitable combination of stores. Our traditional high margins will not be available in these products, but high volume per item should permit rapid inventory turnover with a resultant high return on investment.

In our role as a distribution system for the products of technology, we remain committed to be the most efficient and profitable distribution system in the marketplace. As technology continues to spawn new products, we are better structured than ever to distribute these products. Management looks forward to fiscal 1986 to meet the challenge of returning your Company to growth in profitability.

John V. Roach

Consumer electronics in the United States represented an estimated \$34 billion in retail sales this past year. Factory sales have grown nearly 2½ times since 1980. An impressive and seemingly unending flow of new, exciting and affordable products and technologies is continuing to enhance our everyday living. From the birth of the consumer electronics industry in 1920, when the first radio receiving sets were offered to the public, to the midway point in this decade, Radio Shack remains a leader in electronics, the most influential technology of the 20th Century.

Consumer electronics in this second half of the '80s should prove even more exciting as many of the technologies, still in their infancy, begin to mature. We will continue to see products that generate excitement across the entire spectrum of the industry—products that include video, audio, computers, telecommunications and personal electronics. As products of technology become more personal, an increasing number of consumers who are inexperienced with such equipment will find it desirable to learn its use, and they will make their purchases where product information and customer support are available. Tandy/Radio Shack will wield our proprietary combination of manufacturing, distributing and retailing skills in exploiting the emerging growth markets of the near future. Two examples are cellular telephones and home satellite TV systems.

Audio, a Tradition at Radio Shack

The audio portion of our business—including stereo components, compact music systems, tape equipment, personal stereo and autosound—continued to show absolute dollar gains this past year. However, there has been a shift of dollars among categories. For instance, factory sales of separate audio components dropped from \$1.26 billion in 1983 to \$913 million in 1984, but factory sales of integrated component systems (rack systems) grew from \$178 million in 1983 to \$730 million in 1984. The audio industry is anticipating steady growth as the marriage of audio and video systems creates additional volume. Also, the proliferation of the digital audio disc player stimulates new interest in high-fidelity stereo equipment.

Last year, Radio Shack introduced our first digital disc player at a very attractive retail price of \$399.95. This year's low-end model, with similar features, will be priced at just \$259.95 or only \$200.00 when purchased with either of our two new audio rack systems. It's another example of how the consumer electronics industry fights inflation with better products at lower retail prices. Home audio

component systems will continue to sell, possibly at a slower rate. However, components still offer the best in sound quality, versatility and the ability to easily "add-on" technological advances on a piece-by-piece basis. Add-on components, such as equalizers, reverberation systems, surround-sound processors and the like, will always enhance the "mystique" of component audio.

As the trend grows toward rack systems, the volume in the mass market will continue to move away from individual components and compact music systems. It will be interesting to see if video components integrate into these systems or if there will be a revival of the console business.

It has become obvious that AM stereo will have little if any impact on the home audio market as only a small percentage of the USA's nearly 5,000 AM radio stations are broadcasting in stereo. Radio Shack is introducing a low-cost AM stereo tuner for the "hobbyist" and, in our autosound line, one AM stereo/FM stereo cassette player in an attempt to satisfy the needs of that small market. It appears that most of the automotive industry participants have chosen to ignore the problematic AM stereo system.

Audio tape equipment is showing steady growth and consumer interest. Component audio decks are now a part of all compact and rack systems, which has increased the demand for recording tape and a wide variety of tape-care and equipment-maintenance products. The portable audio business continues to grow with a major emphasis on smaller size "boom boxes," feature-packed personal stereo cassette products and personal AM/FM stereo receivers. The entire category of personal listening is only a few years old, but it has already changed the way millions of people listen to radio and recordings. More is yet to come when the problems of the portable digital disc player are solved and mass production comes into action.

The fact that nearly 50 million table, clock and portable radios were produced last year is a tribute to this 65-year-old industry. Even in this "mature" portion of consumer electronics, ongoing innovation produces new features, user friendliness, and novelty appeal.

"Highway Hi-Fi" connotes the quality sound reproduction now enjoyed in our automobiles, trucks and RV's. Factory sales of autosound equipment exceeded \$2.4 billion this past year—30% more than the previous year. We are continuing to see a trend to "install-it-yourself", in-dash AM/FM stereo cassette systems. Upgrading of speakers and the addition of power boosters/equalizers are

RADIO SHACK AND THE CONSUMER ELECTRONICS MARKETPLACE



Bernard Appel
President, Radio Shack

becoming more frequent than ever. Electronic presets, auto-scan tuning, auto-reverse cassette transports, high-power amplifiers and a host of other desirable features will add to the flow of new products at prices more attractive than ever. This year we will see the introduction of the first automotive digital audio compact disc players. Prices will be too high for mass appeal, although we can eventually expect to see popular pricing.

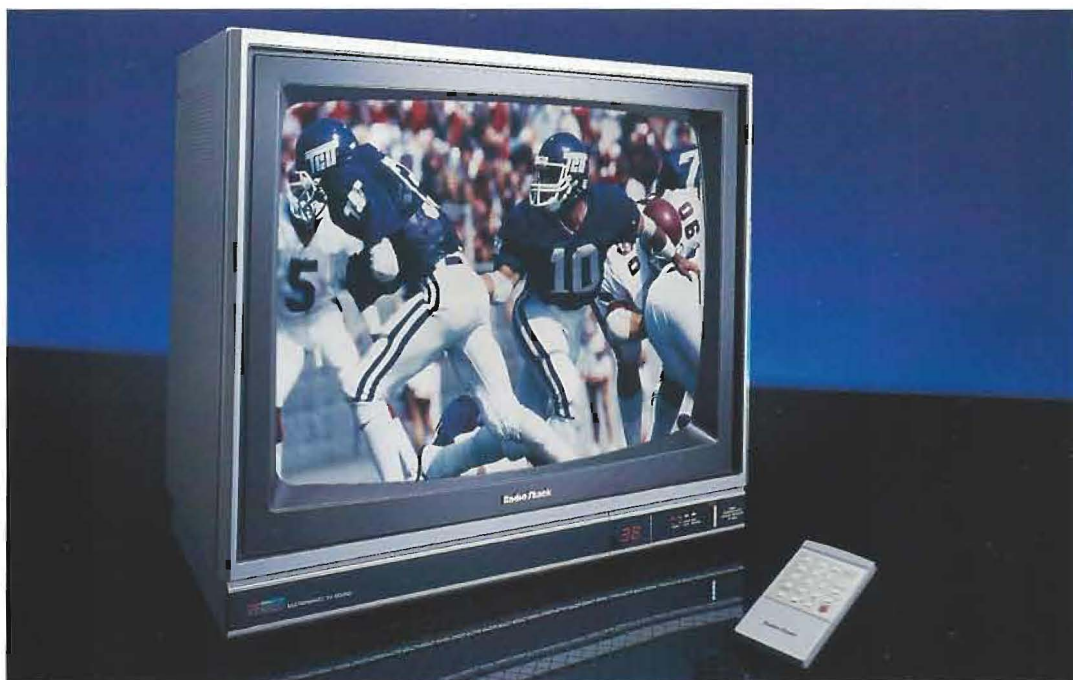
The Video Revolution

The word "video" represents a transformation now underway that is changing not only the nature of our consumer electronics industry, but also the American home and lifestyle. For years, conventional TV receivers served the singular purpose of the reception and reproduction of broadcast programs. Cable and pay TV were added as were video games, video disc players, video cassette tape recorders and personal computers. Now, stereo sound and direct satellite reception are adding another dimension to the "video revolution." Our video business, as well as that of the entire video industry, continues to show explosive growth. Color TV represents nearly 25% of the total consumer electronics industry. It is interesting to note that Tandy/Radio Shack is still number one in consumer electronics in the United States in spite of the fact that we have not taken a significant position in TV. We do have a line of 5 1/2" and 13" color sets plus a new 19" color stereo TV/monitor. We have also added a technological breakthrough—a 2.6" LCD pocket color TV set. We are also continuing our small-screen monochrome PortaVision® sets and recently introduced an under-\$100

retail shirt pocket TV. Radio Shack has certainly found a niche in the small-screen TV business.

Stereo TV, introduced last year, is off to a slow sales start due to a lack of broadcast programming and consumer awareness. The Electronics Industries Association (EIA), of which Tandy is a member, recommended a standard to which broadcasters and manufacturers appear to be adhering. That system provides for stereo audio and for a third alternative sound channel that will make it possible to provide bilingual broadcasts. These broadcasts can be used to bring millions of non-English speaking citizens into the mainstream of American television. Many new stereo TV products will be available. Radio Shack's major entry will be a ready-to-use TV-sound receiver with two specially designed speakers permitting stereo enjoyment with any TV set ever made. We are also introducing two video cassette recorders that include stereo TV capabilities. Stereo TV is on the verge of major consumer awareness and acceptance.

The video cassette recorder (VCR), first introduced in 1975, has experienced astonishing growth and has impacted the entire consumer electronics industry. Sales this year are projected at more than 10 million units. Technology and automated manufacturing facilities have driven retail prices well under last year's \$600 average range. We are taking advantage of this growth by introducing five new models from basic VHS to VHS Hi-Fi Stereo with a built-in stereo TV tuner. Radio Shack's retail strength is best shown through salesmakers capable of explaining the wide variety of broadcast and listening experiences available. The industry will



The Realistic® 19" Stereo Color TV/Monitor receives the new stereo TV programs and SAP/second language audio. It has built-in stereo speakers, remote control and a comb filter system for a more detailed picture.



The Realistic® VCR line boasts four VHS models—one with hi-fi stereo sound *and* a built-in stereo TV tuner—plus a SuperBeta model that delivers 20% more picture detail along with hi-fi stereo.

increase its offering with 8mm VCR models, but we feel this format is premature at current quality and pricing levels. Video cassette players and video disc players are not truly practical in light of the low prices for VCRs.

Satellite earth stations are one of those new, emerging growth areas causing intense interest. Congress passed legislation clarifying the right of individuals to own TV Receive-Only (TVRO) satellite earth stations. It is estimated that there are about a million installations of TVRO satellite systems at this time, with 500,000 systems expected to be sold this year. Some premium program providers such as Home Box Office have announced plans to scramble their satellite signals. However, they have also announced procedures for TVRO dish owners to obtain decoders. We feel that, ultimately, most signals will not be scrambled and that in fact there may be a proliferation of new and unscrambled signals. Radio Shack has introduced a complete do-it-yourself home satellite TV system designed for greatly simplified installation. This system includes all of the necessary parts and pieces and has all of the state-of-the-art features for less than \$2000. It even includes a "How To" video tape. The receiver has a 4K memory that stores information on each satellite to permit automatic control of all audio and most antenna functions. This system will accept any and all descramblers. It is questionable if Direct Broadcast Satellite (DBS) subscription programming will ever be a viable service because of the large amount of "free" programming available.

Video accessories are growing. Radio Shack is one of the few places where shoppers can find nearly every accessory—from a plug to a cable to a video processor.

America's Telephone Company™

Public awareness of the "telephone revolution" has now resulted in nearly 55% of all U.S. households having at least one "owned" telephone. With the purchase of telephones has come a knowledge and understanding of cordless phones, telephone answering devices, amplifiers, dialers, "feature-phones" and a variety of convenient accessories. We have seen a shakeout of the opportunists who leaped into the business with shoddy, low-cost products. The industry learned quickly, at great expense, that the consumer insists on patronizing reputable manufacturers and retailers. The retail telephone business will continue to show consistent growth as the consumer steps up to additional features and higher quality instruments.

Electronic telephone systems for residential and business use are becoming more affordable. Radio Shack is successfully developing, in our own factories and in conjunction with some of the larger world-wide telephone manufacturers, attractively priced two, four and six-line electronic phone systems that are adaptable to both the small-business and home markets. We have also recently introduced new eight, twelve and twenty-one line systems. The user is beginning to recognize the advantages of buying or leasing his or her own multi-line phone system from companies,

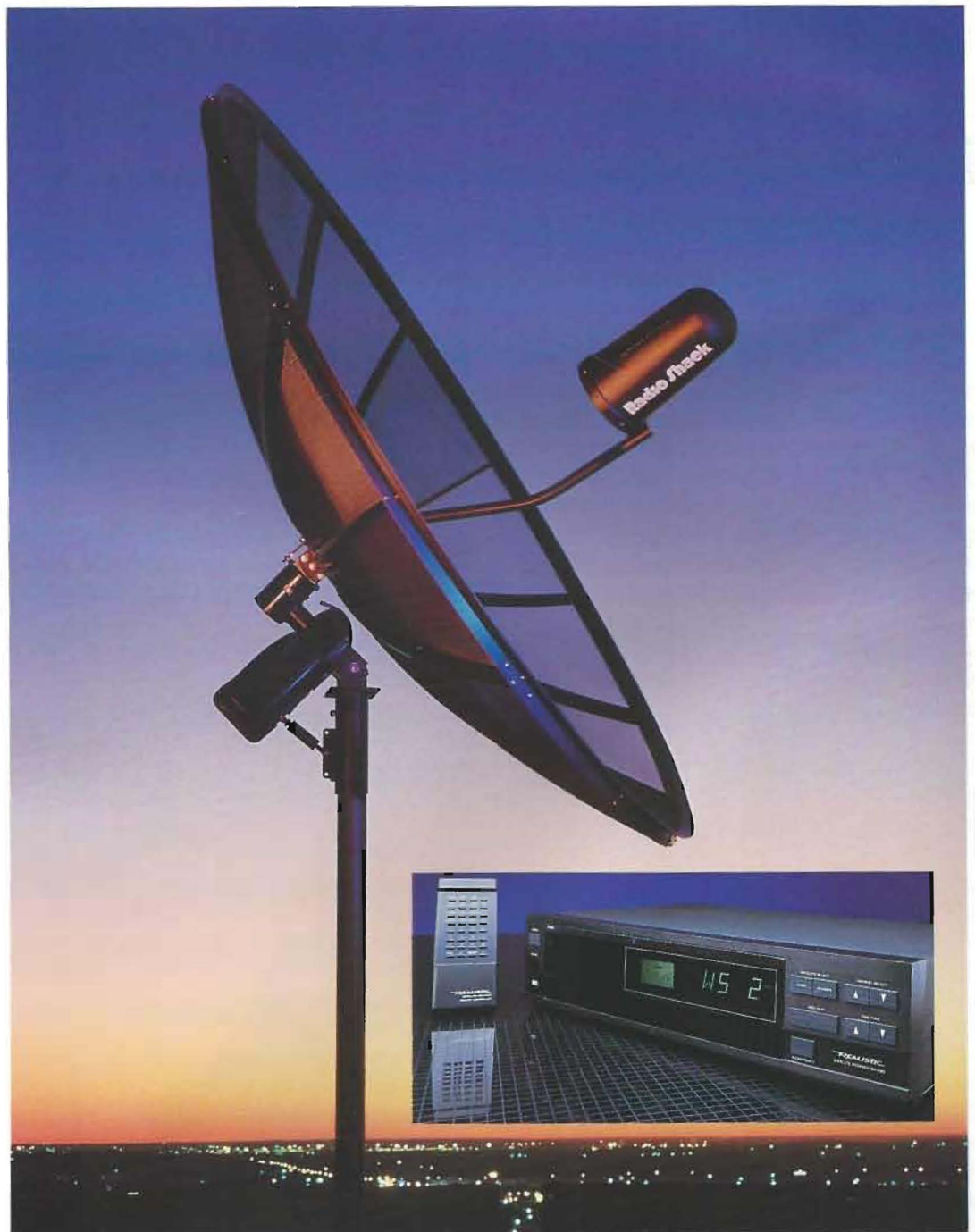
such as Radio Shack, that offer do-it-yourself products or the option of professional installation, service and support programs. We are positioning Tandy/Radio Shack as "America's Telephone Company™".

Personal communications began with citizens band radio in 1958 and peaked in 1976 when approximately 12 million sets were sold. The CB market is stable today with somewhat less than 3 million sets sold annually. An increased demand for mobile radiotelephones resulted in 1983 from the introduction of cellular radio service. The cellular market has developed more slowly than had been expected due to delays in processing applications for cellular carriers and delays in constructing the cell sites. There are approximately 125,000 cellular telephones in

service today; happily, we have every reason to believe that this new technology offers great potential for significant sales within the next few years. Tandy/Radio Shack, along with Mobira of Finland, has designed and is manufacturing an outstanding "transportable" cellular telephone that can be used in an automobile and also, by adding a lock-on battery pack, as a fully portable telephone. This telephone has been designed for total do-it-yourself automotive installation and it easily slips out for portable use. Of course, professional installation is also available.

Innovations in Electronics

The term "personal electronics" denotes a unique, and exciting range of miscellaneous products that has resulted from



Radio Shack's Home Satellite TV System. The first, 100% complete system designed for easy installation by the home owner. Over 100 entertainment and information channels are available.

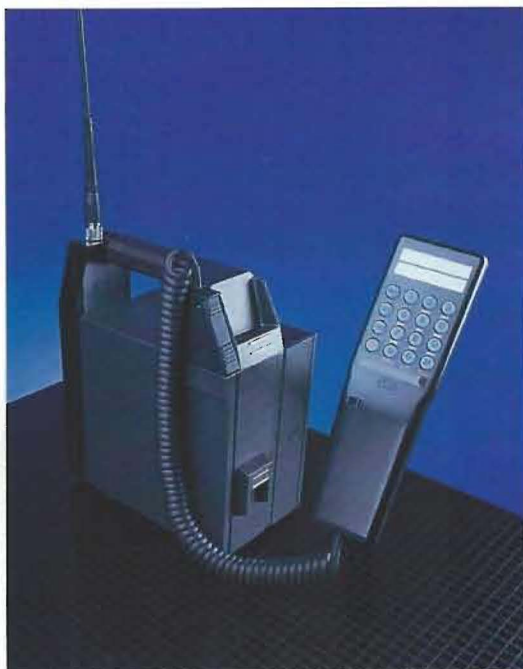
integrated circuit (IC) technology. The evolution of the personal calculator clearly demonstrates how electronics has enhanced our lives and the ability of our industry to invent and improve. The first units were too large, too expensive and too limited in function. Today, for a fraction of the original cost, we are offering pocket-sized, solar-powered models packed with calculating power. Calculator technology led to electronic watches which are being sold by the millions. Specialty watches are found in calendars, pens and stick-on housings for use anywhere. These watches can also display the temperature, function as calculators, store telephone numbers and contain electronic games.

Security equipment has evolved in the last decade as another part of the personal line. Vehicle alarms, intrusion detectors, smoke alarms, electronic timers and the like represent a small but continuing growth area. Health care products such as digital thermometers and easy-to-use blood pressure monitors are becoming everyday items. Technology is riding high with the ongoing flow of LCD test equipment, radar detectors, affordable high-capacity rechargeable batteries, a radiation alarm, VLF metal detector, electronic home thermostat and more. Electronic toys add fun to our lives. Wireless remote control devices, table-top electronic games, math and spelling quizzes and other games of skill have become a regular part of Christmas giving. The home robot has not yet made any significant inroads except as an "adult toy".

The "electronic hobbyist" of old has been visiting our stores in larger numbers than ever to seek out all the new and fascinating electronic parts and accessories. The microprocessor technology of the '80s will bring an outstanding selection of exciting and relatively low-priced personal electronic items.

Tandy® Computers...Clearly Superior™

One of the newest, most exciting and sometimes troubled areas is microcomputers. We've participated in the industry since its inception and provide the computer user with a "Clearly Superior" alternative in quality, price, features, service and support. The industry has undergone a very difficult year which has been well-publicized while growth rates and prices have declined. For Tandy, the year has been one of significant transition into a predominately 16-bit world with MS-DOS™ operating systems. Our PC-compatible Tandy 1000 computer, introduced in November 1984, is the best all around value for home, school or business utilizing the industry's most popular operating system. In addition to better graphics and sound than the machine it



Radio Shack's Mobile/Portable Cellular Telephone is so easy to install that you can do it yourself. The phone quickly converts between car and carry-around use.

emulates, the Tandy 1000 also contains an extraordinary software program called DeskMate® that performs six functions carried out at most desks.

Our line of MS-DOS based computers also contains the XT-compatible Tandy 1200 HD computer. This machine is the best buy for those businesses that already own XT's because of its extraordinarily low cost, full compatibility and "Clearly Superior" Tandy support. For the user who is looking for AT-like performance at a fraction of the cost, the Tandy 2000 computer represents the best alternative. The "power user" is evolving as a major segment of the market and the most power per dollar invested comes from the 2000.

The trade publications and many manufacturers continue to talk about multi-user and networked systems. The theory is simple—most people work together and share information and equipment—and computers should not be any different. While there are technological and protocol problems associated with this evolution, multi-user systems and networked systems are slowly becoming more prevalent. Our Tandy 6000 computer, for instance, permits three to six serious business users to work together on information such as accounting, stock status or accounts receivable, at a minimum cost. It utilizes the Xenix™ multi-user standard. Networking using our ViaNet™ system enables microcomputers to share files and resources without the need of dedicated machines. In the multi-user and networking area, the total support of customer service and maintenance support is critical from installation through implementation. Our "Clearly Superior" capability should make us very competitive in that area.

Our new TRS-80® Model 4D is an excellent 8-bit machine with an 8-year tradition. Popular in education as well as general uses, it continues to prove that an 8-bit machine is just as good as a 16-bit for many applications. This segment of the industry is continuing to decline, both in units and in pricing. But this new model proves that Tandy has not "orphaned" its installed base of users as so many other manufacturers have. The Model 4D includes our DeskMate software which gives it most of the same capabilities of our Tandy 1000.

The lap portable market, most industry observers now concede, is much smaller than originally projected. Our Model 100 computer is still the most popular tool for journalists and the best value in portable computing. A second lap-top portable, the Tandy® 200, was introduced this year with a larger screen, more built-in software and additional memory. Tandy will actively pursue its dominant position in this market.

On the low end of our computer line is the Color Computer 2™. This segment of the market has been severely impacted by declining prices, quantities and "orphaning". Still,

the Color Computer 2 is an excellent way to get started in computing. Its games, educational software, word processing and other home management capabilities make it an extraordinary value. Radio Shack should show unit growth in this segment during the coming year despite industry problems.

Radio Shack, with its unique vertical integration and support structure, remains the best alternative for most computer users. We will remain dedicated to technology, service and support, and are making significant incremental investments in these areas as detailed in the following sections.

Now in its 65th year, this robust consumer electronics industry is continuing to make important, dramatic and lasting contributions to the economic growth of our nation. The revolution in how we educate, communicate, do business, entertain and care for ourselves—all with the aid of electronics—has just begun! Tandy/Radio Shack has been there since the beginning and, with the continued support of its valued customers, will remain in the forefront of this exciting industry.

MS-DOS and XENIX are registered trademarks of Microsoft Corp.
ViaNet is a Registered trademark of ViaNetix Inc.
TRS-80 and DeskMate are registered trademarks of Tandy Corporation



The Tandy 1000 is sold complete with DeskMate™ software. New owners can begin using their computer for word processing, filing, spreadsheet analysis and more from the very first day.

CUSTOMER SERVICE AND SUPPORT

A key highlight of fiscal 1985 was the establishment of a network of Area Training and Support Centers to further strengthen our Company's strong commitment to customer training and after-the-sale support. This newly structured organization, with almost 60 centers in major metropolitan areas in the United States, provides a very high level of training and support services to our business-oriented computer customer base.

Many of the Area Training and Support Centers coincide with existing Business Products Service Centers in physical location and are in addition to our Fort Worth-based customer support operation and 226 technical repair facilities. Each Area Training and Support Center is company operated and staffed with a Manager and Customer Service Representatives who are as motivated and dedicated to customer satisfaction as the store salesmaker who sold the products.

Each of the Area Training and Support Centers provides any combination of the following services:

1. Procedural guidance and problem troubleshooting
2. System installation
3. Customer training and new-user orientation

All of the services listed above can be performed at the customer's site, if required.

Each Area Training and Support Center has a problem-solving department staffed by Customer Service Representatives divided into separate groups of product specialists. Their role is to answer questions, make suggestions, troubleshoot problems and otherwise assist customers via a telephone "hot line." Customers may also call the Computer Customer Service "hot line" in Fort Worth. The only charge to the customer for support services handled over the telephone is the cost of the call. Telephone numbers for both the local and Fort Worth "hot lines" are given to customers at the point of sale.

If, by chance, a customer's problem cannot be solved over the telephone, a Customer Service Representative will, upon request, visit the customer's office or place of business to provide needed on-site assistance.

An important facet of our Area Training and Support Centers is to provide the initial coaching—or hand-holding—many customers need to gain a clear understanding of their hardware and software. This type of new-user orientation support is designed to help customers learn power-up and power-down procedures, how to format a hard disk, install an operating system and application software so they can get their new computer system up and running quickly. It also underscores our

Company's seriousness about not allowing our customers to go-it-alone while they learn to become compatible and comfortable with their new computer investment.

Classroom or customer-site computer training programs are offered through Area Training and Support Centers. Customers may choose from a wide variety of courses taught in fully-equipped computer classrooms at Radio Shack Computer Centers or, for more personalized instruction, a professional instructor will conduct on-site training sessions tailored to the customer's specific needs in one-on-one or multiple-employee groups.

As with support personnel, Radio Shack Computer Instructors specialize along product lines and as a result of their specialization, our customers have access to a greater depth of product knowledge and training.

Customers who purchase an On-Site Service Agreement or a System Installation and User Orientation Agreement will have their computer system delivered, unboxed and assembled by a technical service representative. A support representative will then visit the customer's site to provide the required software installations and general orientation to the user. This service is available to customers within 150 miles of an Area Training and Support Center.

Along with delivery of equipment, the hardware installation includes on-site inspection, connection of all cables, turning on and testing all CPUs, printers and hard disk drives listed on the agreement.

Software installation includes formatting of all hard drives, installation of operating system(s) and applications software so that programs are ready for the customer's set up and data entry right from the start.

All of the hardware and software installation procedures are shown and explained to the customer.

Advances in business application software and hardware processing power have made Tandy microcomputers as indispensable as the telephone in many offices today. Our Area Training and Support Centers will significantly upgrade the level of support and services available to our business-oriented customers.

Our field service operations are staffed to handle on-site repair service within a 150 mile radius of each center. Upon request, a computer service technician, specialized in specific hardware products, is dispatched to a customer's location to perform maintenance and repair of equipment.

The Business Products Service Centers are repair facilities with a goal of one business day, or less, turnaround on repairs.

These mega-centers serve customers with "pickup one day, delivery the next" service through their nearest Radio Shack Computer Center. Or customers may take their hardware to convenient carry-in counters at Business Products Service Centers for routine service while they wait. In most instances, the customer will have direct contact with the repair technician who actually works on the equipment.

No other computer manufacturer or retailer has matched the level of support and services Tandy/Radio Shack computer customers have available to them. The Area Training and Support Centers and Field Service Operations will solidify our Company's leadership role in the computer business and should make a profitable contribution to the Company for fiscal 1986.

The Company's unmatched level of customer support and service covers other product lines as well.

Radio Shack's service organization proved its versatility in fiscal 1985. Installation and service of business telephone systems progressed from infancy to young adulthood in concert with our expanding telephone equipment markets.

In addition, fiscal 1985 marked the Company's entry into cellular mobile communications and providing the unique installation and service required. Radio Shack is building a solid foundation in serving telecommunications needs, while retaining that special appreciation for the customer that has become a valuable Radio Shack trademark.

Our Company's total commitment to support and service has expanded even more to include Extended Service Plans available on many of the products carried in our Radio Shack stores nationwide. These inexpensive protection options offer our customers convenient and easy ways to take the worry out of maintaining valuable stereo systems, video cassette recorders and other electronic equipment.

The Extended Service Plans offer customers an extended limited warranty, up to five years in most cases, on parts and labor. The Extended Service Plans also relieve the customer of unexpected repair costs. After the warranty period expires, service charges are limited to only a small pre-set shipping and handling charge.

Repair services provided through Extended Service Plans are available through any one of the 4,883 company-owned Radio Shack stores as well as through participating dealers.

In summary, customer service, support and training are major selling points for computers, peripherals and software, telephone systems and accessories, as well as consumer electronics products sold through Radio Shack Computer Centers, Radio Shack Telephone Centers and the regular full-line Radio Shack stores. Through our expanded and finely tuned service and support facilities, Tandy/Radio Shack has in place a service organization to support its customers which is unequalled in the consumer electronics marketplace.



Realistic® CD-2002 Compact-Disc Digital Audio Player extracts the ultimate in stereo sound from 4 3/4" grooveless laser discs that play up to 79 minutes.

Audio-Video-Appliance

Effective April 1, 1985 Tandy acquired a group of 24 audio-video-appliance stores operating under the names of Scott, McDuff® and Santa. These stores represent the Company's initial entry into the name-brand discount retailing of electronics and appliances. On August 3, 1985, the Company completed the purchase of 207 audio and video stores operating under the name of VideoConcepts®. These stores are located in 29 states, which potentially gives national scope to this new business.

Our plans are to open 10 to 15 Supercenter stores under the McDuff name during the coming year around hubs in Memphis, Tennessee, Jacksonville, Florida and Fort Worth, Texas. These hubs will contain management, warehousing and service for 10 to 20 locations. A Supercenter will normally be 10,000 square feet with a complete line of audio and video equipment and appliances. The merchandising of the Supercenters will be coordinated with the VideoConcepts mall locations to gain efficiencies in buying, warehousing and advertising. The name-brand retailing activities will operate entirely separate from the Radio Shack division and will have their own management, buying staff and product strategy. In general, the competitive overlap of product lines between our name-brand stores and Radio Shack will be minimal. In our name-brand stores, more than two-thirds of the volume is expected to come from video and appliance products not offered by Radio Shack.

The product assortment of the Supercenters will include television, video tape recorders, refrigerators, ranges, clothes washers and dryers, microwave ovens, air conditioners and a wide range of audio equipment. The VideoConcepts mall locations will average approximately 3,000 square feet and will contain an assortment of audio and video equipment. Frequent advertising, competitive pricing, well-trained sales staffs and convenient locations should make these stores an important new chain.

Each hub of operation will be designed to support stores in a radius of approximately 150 miles. This support will include training, repair—both carry-in and customer premise—delivery and installation. A warehouse located at each hub will maintain inventories of large delivery items and facilitate distribution of merchandise to all stores in the area. Buying and advertising will be done centrally, although it may be tailored to support an individual market. Some stores within a hub may be in markets with populations as small as 75,000.

Marketing Companies

Tandy has major manufacturing divisions, subsidiaries and joint ventures that produce a wide range of products from wire and tape to computers and stereo receivers. Most of the products of these 30 plants are sold by Radio Shack, but some sell predominantly outside the Company. These operations, which include Memtek Products, O'Sullivan Industries, Lika and Tandy Distributor Products, sell to retailers and manufacturers through their own sales forces, distributors and manufacturers' representatives.

Memtek Products sells Memorex® audio and video tape, batteries and accessories. Memtek's growth is being fueled by strong demand for Memorex video tape and the relatively new battery and accessory lines. Memorex audio tape also continues to enjoy good acceptance. During the year, most audio tape production was shifted to Fort Worth to lower costs and to permit our expanded Santa Clara facilities to concentrate on video tape. A highly automated tape loading facility in Chicago is being doubled in size.

O'Sullivan markets stereo racks, computer desks, television and microwave cabinetry and assorted other electronic accessories. While demand has continued strong in most categories, the year saw some slackening in demand for computer desks. A new line of high-quality, low-cost office accessories is being introduced this year.

Lika produces multi-layer printed circuit boards. A new, highly automated plant was opened in Stockton, California to replace smaller and outgrown facilities. This company, which sells primarily outside Tandy, has had some softening of orders due to the slowdown in the computer industry.

Tandy Distributor Products introduced a new home satellite television system in late spring to complement its line of television antennas and accessories. The complete system is being marketed first to their traditional customers and Radio Shack dealers. They will produce the advanced-design system to be sold by Radio Shack this year.

Tandy's marketing and manufacturing companies are supported by engineering and product development groups in Fort Worth and Tokyo, in addition to product development capabilities in many of the divisions and subsidiaries. A wide variety of expertise has been developed including RF and digital engineering, magnetics, automated manufacturing processes and very large scale integrated circuit design. These capabilities are important factors in developing and evaluating the technology driven product flow that is so important to all phases of the Company.

OTHER OPERATIONS

REVIEW OF OPERATIONS AND FINANCIAL INFORMATION

Report of Independent Accountants

To the Board of Directors and Stockholders of Tandy Corporation

In our opinion, the consolidated balance sheets and the related consolidated statements of income, of stockholders' equity and of changes in financial position appearing on pages 12 to 39 present fairly the financial position of Tandy Corporation and its subsidiaries at June 30, 1985 and 1984, and the results of their operations and the changes in their financial position for each of the three years in the period ended June 30, 1985, in

conformity with generally accepted accounting principles consistently applied. Our examinations of these statements were made in accordance with generally accepted auditing standards and accordingly included such tests of the accounting records and such other auditing procedures as we considered necessary in the circumstances. We have also previously examined, in accordance with generally accepted auditing standards, the consolidated balance sheets as of June 30,

CONSOLIDATED STATEMENTS OF INCOME

Tandy Corporation and Subsidiaries

In thousands, except per share amounts. Per share amounts restated for two-for-one stock splits in May 1981, December 1980, June 1978 and December 1975.

	1985
Net sales and operating revenues	\$2,841,434
Other income	11,530
	<u>2,852,964</u>
Costs and expenses:	
Cost of products sold	1,291,789
Selling, general and administrative, net of amounts allocated to spun-off operations in fiscal 1976	1,102,135
Depreciation and amortization	51,947
Interest expense, net of interest income and interest allocated to spun-off operations in fiscal 1976	55,682
	<u>2,501,553</u>
Income from continuing operations before income taxes	351,411
Provision for income taxes	162,351
Income from continuing operations	189,060
Loss from discontinued operations, net of income taxes	—
Net income before income from operations spun off	189,060
Income from operations spun off, net of income taxes	—
Net income	\$ 189,060
Income (loss) per average common share and common share equivalent:	
Continuing operations	\$2.11
Discontinued operations	—
Spun-off operations	—
Net income	<u><u>\$2.11</u></u>
Average common shares and common share equivalents outstanding	<u>89,490</u>

1976 through 1983, and the related consolidated statements of income, of stockholders' equity and of changes in financial position for the years then ended and, in our previously issued reports, we expressed unqualified opinions on those consolidated financial statements. In our opinion, the information set forth in the accompanying condensed consolidated statements of income and of changes in financial position for each of the seven years in the period ended June 30, 1982, ap-

pearing on pages 12 and 32, when read in conjunction with the consolidated financial statements from which it has been derived, is fairly stated in all material respects in relation thereto.

Price Waterhouse

Fort Worth, Texas
August 19, 1985

Year Ended June 30,								
1984	1983	1982	1981	1980	1979	1978	1977	1976
\$2,775,496	\$2,506,454	\$2,050,735	\$1,698,853	\$1,386,786	\$1,216,356	\$1,060,130	\$950,033	\$742,382
8,983	6,843	10,477	8,217	9,211	10,530	4,823	2,997	1,989
<u>2,784,479</u>	<u>2,513,297</u>	<u>2,061,212</u>	<u>1,707,070</u>	<u>1,395,997</u>	<u>1,226,886</u>	<u>1,064,953</u>	<u>953,030</u>	<u>744,371</u>
1,184,531	1,008,187	826,842	701,777	594,841	535,549	491,509	434,031	331,400
1,014,827	930,244	780,378	645,934	546,325	484,249	403,173	350,878	270,308
46,079	38,679	29,437	23,288	19,110	17,121	13,879	11,140	8,034
4,363	8,905	1,168	15,454	25,063	28,466	30,260	15,192	7,282
<u>2,249,800</u>	<u>1,986,015</u>	<u>1,637,825</u>	<u>1,386,453</u>	<u>1,185,339</u>	<u>1,065,385</u>	<u>938,821</u>	<u>811,241</u>	<u>617,024</u>
534,679	527,282	423,387	320,617	210,658	161,501	126,132	141,789	127,347
252,808	248,761	199,302	151,015	98,423	78,272	59,986	69,970	63,066
281,871	278,521	224,085	169,602	112,235	83,229	66,146	71,819	64,281
—	—	—	—	—	—	—	(2,777)	—
281,871	278,521	224,085	169,602	112,235	83,229	66,146	69,042	64,281
—	—	—	—	—	—	—	—	3,243
<u>\$ 281,871</u>	<u>\$ 278,521</u>	<u>\$ 224,085</u>	<u>\$ 169,602</u>	<u>\$ 112,235</u>	<u>\$ 83,229</u>	<u>\$ 66,146</u>	<u>\$ 69,042</u>	<u>\$ 67,524</u>
\$2.75	\$2.67	\$2.17	\$1.65	\$1.12	\$.81	\$.69	\$.54	\$.44
—	—	—	—	—	—	—	(.02)	—
—	—	—	—	—	—	—	—	.02
<u>\$2.75</u>	<u>\$2.67</u>	<u>\$2.17</u>	<u>\$1.65</u>	<u>\$1.12</u>	<u>\$.81</u>	<u>\$.69</u>	<u>\$.52</u>	<u>\$.46</u>
102,328	104,335	103,395	102,578	103,644	106,004	96,136	132,336	144,824

Net Sales

Tandy Corporation's 1985 consolidated sales and operating revenues increased \$65,938,000 to \$2,841,434,000, 2% more than the prior year's sales and operating revenues. For the five years ended June 30, 1985, the growth rate for sales and operating revenues was 16%. Year-to-year sales gains of 11%, 22%, 21% and 22% were recorded in 1984, 1983, 1982 and 1981.

During recent years the Company's sales and operating revenues have grown through expansion of the store system, increases in sales of existing stores, acquisitions, growth of new product categories and development of the international operations. However, in fiscal 1985 and 1984 sales growth dropped from the 20-22% range of the early '80s because of a decline in sales of microcomputers caused by intense price competition in this product category.

Tandy purchased the assets of the Scott Appliances group (Scott-McDuff) effective April 1, 1985. Sales and operating revenues of this chain of 24 audio-video-appliance stores were approximately \$12,300,000 between the effective date of the purchase and June 30, 1985. Because the acquisition of 207 VideoConcepts stores was not completed until August 1985, no sales of these stores were included in the fiscal 1985 consolidated sales. Management of Tandy anticipates the VideoConcepts acquisition may contribute

\$150,000,000 to \$200,000,000 to the fiscal 1986 sales. Neither acquisition is material to the consolidated financial statements.

Tandy's retail outlets are primarily located in the United States, Canada, Europe and Pacific/Asia. The "Radio Shack®" name is used by the stores in the United States and Canada while the European outlets use the "Tandy" name and the Australian stores are known by "Tandy Electronics". The net increase in retail outlets during fiscal 1985 was 99. This included 135 additional company-owned stores, a decrease of 42 dealer/franchise outlets plus the purchase of 24 Scott-McDuff stores. Also, eighteen computer stores in the United Kingdom were transferred to a joint venture the Company formed with Applied Computer Techniques (Holdings) plc in fiscal 1985. In fiscal 1984 net retail outlet openings were 150, of which 149 were company-owned stores. Two hundred sixty company-owned stores were added in fiscal 1983 compared to 372 in 1982 and 388 in 1981. In recent years the economic conditions in many countries and the strength of the U.S. dollar have been such that expansion of the international store system has not been feasible. Management and support systems are in place in Europe and Australia, and store expansion opportunities will be monitored so that expansion efforts can be renewed when local conditions permit.

The average monthly sales increase for

Retail Outlets

	1985	1984	June 30, 1983	1982	1981
U.S. Retail Operations					
Company-owned	4,883	4,717	4,584	4,398	4,132
Dealer/franchise	2,051	2,064	2,010	1,983	2,046
	<u>6,934</u>	<u>6,781</u>	<u>6,594</u>	<u>6,381</u>	<u>6,178</u>
International Operations					
Canada					
Company-owned	470	460	453	442	424
Dealer/franchise	385	391	384	364	386
	<u>855</u>	<u>851</u>	<u>837</u>	<u>806</u>	<u>810</u>
Europe					
Company-owned	513	549	538	491	416
Dealer/franchise	288	303	272	234	212
	<u>801</u>	<u>852</u>	<u>810</u>	<u>725</u>	<u>628</u>
Pacific/Asia					
Company-owned	203	202	204	188	175
Dealer/franchise	152	170	216	226	206
	<u>355</u>	<u>372</u>	<u>420</u>	<u>414</u>	<u>381</u>
Other International Outlets	172	162	207	192	164
	<u>9,117</u>	<u>9,018</u>	<u>8,868</u>	<u>8,518</u>	<u>8,161</u>

U.S. retail stores in existence more than one year was only 1% in fiscal 1985. During the first half of fiscal 1985 declines were reported in old store sales, but during the last half of the year improvements were made in old store sales with gains reported in every month. Old store sales gains were 6% in fiscal 1984 compared to 12% in fiscal 1983, 10% for 1982 and 11% in 1981.

The sales and operating revenues related to the U.S. dealers and franchisees were \$165,029,000 in 1985 compared to \$177,949,000 in 1984 and \$195,187,000 in 1983. Sales to the other international outlets shown in the chart of retail outlets are included in these totals because they are serviced by Radio Shack-U.S. Several factors have contributed to the decline in the sales to dealers/franchisees. Export sales to Mexico and other Latin American countries have been significantly reduced because of governmental import restrictions in certain countries combined with unstable currencies and economic conditions in many of these countries. Also, some dealers who had sold large amounts of computers by mail order reduced or curtailed these activities. Sales to other dealers/franchisees were also affected by the slowdown and price competition in the micro-computer marketplace. In July 1983 the Company purchased its principal Hawaiian franchise consisting of eight stores. The 1982 dealer/franchise sales were \$170,562,000, an

increase from the 1981 sales of \$130,896,000. Average annual purchases by U.S. dealers were \$70,500 in 1985 compared to \$73,000 in 1984, \$81,300 in 1983, \$72,400 in 1982 and \$53,800 in 1981.

As shown in the chart below, Tandy's business follows a stable pattern with the peak selling season in the December quarter. In recent years some of the additions to the product line, such as computers and telephone systems, have been less seasonal than the traditional lines because they are sold to businesses, schools and governmental agencies as well as to individuals. Some of the businesses acquired in recent years also have sales patterns that are less seasonal.

Enhancement of the traditional merchandise line through technological advancements plus the introduction of new products such as telephones, answering devices, security equipment and microcomputers have provided a basis for the Company's sales growth even during difficult economic times. The chart on the next page illustrates the Company's merchandising flexibility. This table is based on shipments from the warehouses to the Company's Radio Shack, Tandy and Tandy Electronics retail outlets at suggested retail prices. It does not reflect markdowns or discounts as a result of special promotions. This table excludes shipments of the Company's operations that sell outside the traditional retail distribution system.

Consolidated Monthly Sales and Operating Revenues

(Unaudited)

In thousands.	1985		Year Ended June 30,		1983		1982	1981
			1984					
July	\$ 192,735	6.8%	\$ 182,453	6.6%	\$ 167,692	\$ 132,575	\$ 101,098	
August	207,105	7.3	209,935	7.6	180,881	148,788	117,352	
September	205,451	7.2	200,116	7.2	175,491	146,577	117,399	
October	224,154	7.9	226,463	8.2	191,174	160,551	129,009	
November	261,885	9.2	262,035	9.4	215,871	177,437	152,257	
December	417,710	14.7	419,615	15.1	378,715	304,664	254,599	
January	238,209	8.4	227,131	8.2	203,725	161,825	141,188	
February	210,960	7.4	213,062	7.7	184,356	148,201	126,151	
March	231,146	8.1	225,458	8.1	210,415	164,590	142,810	
April	217,489	7.7	199,964	7.2	199,465	157,126	138,833	
May	219,074	7.7	203,558	7.3	192,280	170,784	136,827	
June	215,516	7.6	205,706	7.4	206,389	177,617	141,330	
	<u>\$2,841,434</u>	<u>100.0%</u>	<u>\$2,775,496</u>	<u>100.0%</u>	<u>\$2,506,454</u>	<u>\$2,050,735</u>	<u>\$1,698,853</u>	
Sales by quarter:								
September		21.3%		21.4%	20.9%	20.9%	19.8%	
December		31.8		32.7	31.3	31.3	31.5	
March		23.9		24.0	23.9	23.1	24.1	
June		23.0		21.9	23.9	24.7	24.6	
		<u>100.0%</u>		<u>100.0%</u>	<u>100.0%</u>	<u>100.0%</u>	<u>100.0%</u>	

Worldwide Warehouse Shipments

(Unaudited) Class of Products	Year Ended June 30,				
	1985	1984	1983	1982	1981
Radios, phonographs and video	9.4%	8.6%	8.6%	9.4%	11.6%
Citizens band radios, walkie-talkies, scanners and public address systems	5.7	5.5	4.9	6.0	6.8
Audio equipment, tape recorders and related accessories	18.5	17.8	18.2	21.5	25.4
Electronic parts, batteries, test equipment and related items	11.9	12.1	11.9	13.0	13.8
Toys, antennas, security devices, timers and calculators	12.7	11.9	12.5	12.0	14.1
Telephones, intercoms and pagers	10.4	10.5	9.3	7.4	6.5
Microcomputers, software and peripheral equipment	31.4	33.6	34.6	30.7	21.8
	<u>100.0%</u>	<u>100.0%</u>	<u>100.0%</u>	<u>100.0%</u>	<u>100.0%</u>

Outside sales and operating revenues not included in the warehouse shipments were \$282,816,000 in fiscal 1985. In fiscal 1984 and 1983 these sales totaled \$250,644,000 and \$154,091,000. These sales were primarily related to Memtek, O'Sullivan and Lika plus the sales of Scott-McDuff since its acquisition in April 1985.

Every class of products showed absolute dollar increases from 1984 to 1985, except microcomputers which declined 3%. One of the Company's strengths has been its ability to counter a slowdown in sales of one product group with growth in other categories. This flexibility has been particularly important during fiscal 1985 and 1984 with the disruption in the microcomputer marketplace. Three categories showed particularly strong growth in dollars—audio equipment, tape recorders and related accessories; toys, antennas, security devices, timers and calculators; and radios, phonographs and video. In fiscal 1984 every class of products showed absolute dollar gains. The largest percentages of growth were in telephones and intercoms; the citizens band radios, walkie-talkies, scanners and public address systems category and the electronic parts classification. Although the

computer category had one of the largest increases in dollars during 1984, the percentage increase in this category was only 3%. In 1984 price reductions, delays in product introductions and supply problems caused by semiconductor shortages started the slowdown of the Company's computer sales which continued into fiscal 1985. The deregulation of the telephone marketplace and the Company's opening of Telephone Centers contributed to the growth of this category in 1984.

The warehouse shipments of microcomputers, software, peripheral equipment and accessories were approximately 31% of 1985's total warehouse shipments compared to 34% in 1984. The microcomputer market was uncertain and unstable in both fiscal 1985 and 1984. The Company had to exert special efforts to remain competitive in the microcomputer marketplace during 1985 as problems within this industry grew. Price reductions by competitors necessitated that the Company reduce its selling prices on certain computers. Also in fiscal 1985 the industry's move toward an industry standard prompted the Company to introduce computers compatible with these standards. As shown in the chart below, these new products, designed to

Microcomputer Shipments

(Unaudited)	Year Ended June 30,		
	1985	1984	1983
Model III/4	16.0%	25.8%	28.1%
Model II/12/16/2000/6000	11.7	19.4	21.4
Model 1000/1200	14.2	—	—
Color computers	7.8	10.3	9.8
Portable/pocket computers	5.1	6.0	3.1
Printers	14.3	17.0	16.5
Software	11.2	8.6	9.2
Other	19.7	12.9	11.9
	<u>100.0%</u>	<u>100.0%</u>	<u>100.0%</u>

meet industry standards, have been well accepted. During 1984 delays in product introductions and supply problems created by semiconductor shortages adversely affected the growth of computer shipments in that year. The chart gives a perspective on the composition of computer and computer-related shipments.

Other Income

Income arising from the Company's normal business operations that is not classified as sales of products or operating revenues related to product sales is included in other income. This category includes outside rent income, net gains and/or losses on sales of assets such as real estate and marketable securities and net earnings or losses from equity interests in joint ventures. Certain operating revenues which had previously been included in other income have been reclassified for each of the years presented in the consolidated statements of income and included in the classification net sales and operating revenues. These items, which are directly related to sales of products, principally include income from service contracts, computer leasing and computer training income. Other income for fiscal 1985 was \$11,530,000 compared to \$8,983,000 in fiscal 1984 and \$6,843,000 in fiscal 1983. Other income will vary from period to period because many of the items in this category are of a nonrecurring nature. No items material to the consolidated financial statements have been included in this category in the three years ended June 30, 1985.

Gross Profit and Cost of Products Sold

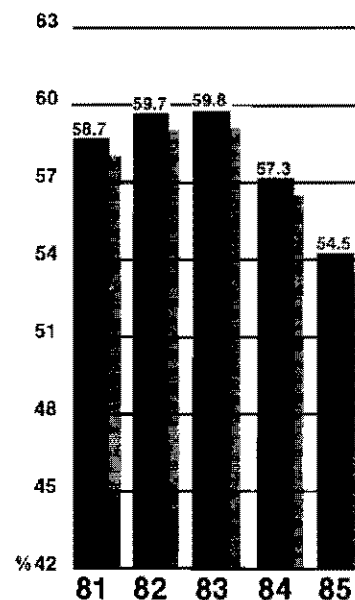
Gross profit as a percent of sales and operating revenues was 54.5% in fiscal 1985 compared to 57.3% in 1984. During the past two years, this percentage has been adversely impacted by the unsettled conditions in the microcomputer marketplace which created heavy discounting. In addition, the change from 8-bit to 16-bit technology shortened the anticipated life cycles of a large number of microcomputers and added to the pricing problems within the computer marketplace. During the latter part of the third quarter of fiscal 1985, the Company determined that certain products needed to be permanently reduced in price because of the changes in the pricing structure within the computer marketplace and sharp declines in raw material prices. In particular, the Tandy 2000 was adversely affected by the introduction of the Tandy 1000 and the Tandy 1200 personal computers and decline in market

prices of comparable equipment. Consequently, the 1985 cost of products sold for Radio Shack-U.S. included write-downs of computer hardware and software of approximately \$33,000,000 in recognition of these changes. These write-downs were taken primarily in the third quarter of fiscal 1985.

The gross profit percentages for the Radio Shack-U.S. retail operations and the manufacturing units declined in fiscal 1985 and 1984 primarily because of the factors described above. In 1985 the Pacific/Asian retail operations achieved an improvement in gross margins, but the Canadian and European retail operations showed declines in gross profits. In fiscal 1984 the international retail operations also showed mixed results in gross margins. An improvement was shown in the Canadian gross profit percentage, but declines in gross profit percentages were recorded by the European and Pacific/Asian operations. The strength of the U.S. dollar has adversely impacted the gross profits of the international operations during recent years by increasing merchandise costs in these countries. Particularly in the European operations, general market conditions, competition and legal restrictions in certain countries have prevented the Company from raising prices sufficiently to maintain gross margins. Several companies have been acquired during the last four years. These acquisitions, such as Memtek Products, O'Sullivan Industries and Scott-McDuff, complement the Company's traditional retail operations, but have lower gross margins than the Company's established store operations. Although the lower gross margins of these companies reduce the consolidated gross profit percentages, they contribute to the Company's overall profits.

The gross profit percentage increased from 58.7% in 1981 to 59.7% in 1982 and 59.8% in 1983. Factors that favorably influenced this trend were the increases in the dollar volume of self-manufactured products and the increases in manufacturing profits, particularly in computer lines. Expanded production combined with technological advancements in production and product design boosted the North American manufacturing profit margin significantly in this period. Radio Shack-Canada's gross margins improved from 1981 to 1982 and declined only slightly in 1983. The gross margins would have been even higher if the gross profit percentages for the European and Pacific/Asian retail operations had not declined during these years. Also, the Memtek acquisition in late fiscal 1982 had a negative impact on the comparison of the 1982-83 gross profit percentages.

GROSS PROFIT PERCENTAGES



Selling, General and Administrative Expenses

achieve sales gains. The smaller sales gains recorded in 1985 and 1984 negatively impacted the relationship between advertising expense and sales and operating revenues.

Rent expense as a percent of sales and operating revenues has remained fairly constant in the five-year period ended June 30, 1985. Rent was 4.4% of the 1985 sales and operating revenues compared to 4.1% in 1984, 4.3% in 1983, 4.4% in 1982 and 4.3% in 1981. Expansion of the Company's operations through acquisitions and growth in the retail store system have contributed to the increases in the dollar amount of rent expense. Escalations in base rents for old stores as lease agreements have expired also increased the dollar amount of rent expense. The average base rent per square foot for U.S. stores opened in fiscal 1985 was \$10.04 compared to \$9.88 in fiscal 1984. The average square-foot base rent for stores opened in 1983 was \$9.38. The overall average base rent per square foot for all U.S. stores was \$6.95 in fiscal 1985, \$6.73 in 1984 and \$6.34 in 1983.

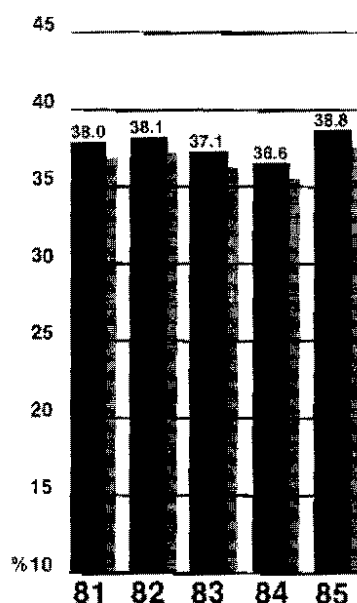
As shown in the following schedule, the Company leases rather than owns most of its facilities. Retail space is generally leased because the store locations are primarily in major shopping malls or shopping centers that are owned by other companies. The Company owns a twin-tower office complex in Fort Worth, Texas. More than half of the leasable office space in this complex is occupied by the Company. There are 12 major warehouse locations. Eight of these are in the United States. Warehouses are also located in Canada, Great Britain, Belgium and Australia. Manufacturing operations are located in five different countries—23 in the United States and one each in Canada, Japan, Korea and Taiwan. The three manufacturing joint ventures the Company participates in are not included in the square footage devoted to manufacturing.

The total space owned and leased by the Company at June 30, 1985 was as follows:

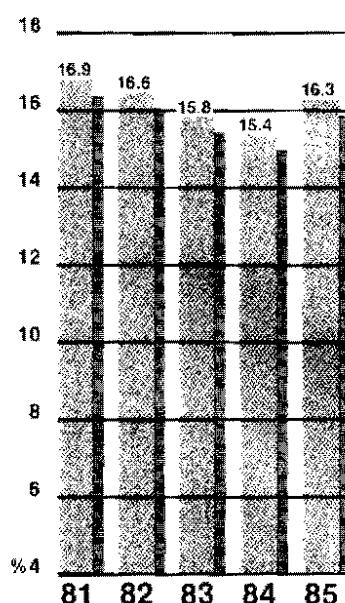
In thousands.	Approximate Square Feet		
	Owned	Leased	Total
Retail	539	13,249	13,788
Warehouse and office	2,838	2,490	5,328
Manufacturing	2,494	888	3,382
Total	<u>5,871</u>	<u>16,627</u>	<u>22,496</u>

The retail store leases are the most significant portion of rent expense and are generally for 10 years, some having renewal

SELLING, GENERAL AND ADMINISTRATIVE EXPENSES AS A PERCENT OF SALES AND OPERATING REVENUES



PAYROLL EXPENSE AS A PERCENT OF SALES AND OPERATING REVENUES



Selling, general and administrative expenses were 38.8% of fiscal 1985's sales and operating revenues compared to 36.6% in fiscal 1984 and 37.1% in fiscal 1983. The significant slowdown in growth of sales and operating revenues during fiscal 1985 had an adverse impact on the relationship of the selling, general and administrative expenses to the sales category. Many of the Company's selling, general and administrative expenses, such as payroll, base rents and other overhead costs do not vary directly with the volume of sales and thus increase in relation to sales when there is a slowdown in sales growth. Other types of selling, general and administrative expenses, such as advertising costs, may actually be increased during a period of slower sales growth to combat the adverse market conditions.

Payroll, the largest category in the selling, general and administrative expenses, was 16.3% of sales and operating revenues in fiscal 1985, an increase from 15.4% in 1984 and 15.8% in 1983. The payroll costs included in selling, general and administrative expenses were \$462,651,000 in fiscal 1985, an increase of 8.5% over the 1984 payroll expense of \$426,571,000. In 1984 and 1983 these expenses increased 8.0% and 16.4%. The 1983, 1982 and 1981 payroll costs were \$395,135,000, \$339,559,000 and \$286,494,000, respectively. Manufacturing payroll costs included in cost of products sold were \$96,533,000 in 1985, \$89,703,000 in 1984, \$71,892,000 in 1983, \$53,105,000 in 1982 and \$42,128,000 in 1981. The manufacturing payroll has grown in recent years primarily because of acquisitions. Approximately 23% of the more than 35,000 people employed by Tandy Corporation are involved in the manufacturing operations.

Advertising expense for newspaper, television, radio and other media, including catalog preparation and distribution costs, was \$237,807,000 in fiscal 1985, \$221,496,000 in 1984 and \$199,128,000 in 1983. In 1982 and 1981 these costs were \$160,905,000 and \$137,722,000, respectively. These amounts exclude salaries and other overhead expenses related to the Company's advertising departments. Advertising expense for fiscal 1985 increased 7.4% over the 1984 expenditures compared to an increase in 1984 of 11.2% over the 1983 advertising costs. Heavy competition through advertising and pricing, particularly in the computer marketplace, has necessitated a high level of advertising expenditures to

Rent Expense

In thousands.

	Year Ended June 30,				
	1985	1984	1983	1982	1981
Minimum rents	\$118,885	\$110,095	\$101,886	\$86,003	\$71,057
Contingent rents	6,676	7,295	7,046	5,470	4,452
Sublease rents	(1,552)	(2,448)	(1,962)	(1,741)	(1,652)
Total rent expense	<u>\$124,009</u>	<u>\$114,942</u>	<u>\$106,970</u>	<u>\$89,732</u>	<u>\$73,857</u>

options. These leases are normally based on a minimum rental plus a percentage of the store's sales in excess of a stipulated base figure. The Company also leases offices, warehouses, land and equipment.

Minimum rent commitments at June 30, 1985 for all long-term noncancellable leases (net of immaterial amounts of sublease rent income) were:

In thousands.

1986	\$ 94,067
1987	85,610
1988	76,025
1989	68,804
1990	60,719
1991 and thereafter	165,629

Capital leases, as defined by the Financial Accounting Standards Board's Statement No. 13, were not material in total at June 30, 1985. The Company's operations are basically structured in a manner that precludes the need for financing or capital leases.

Taxes, other than income taxes, were \$58,816,000 in 1985 compared to \$50,030,000 in 1984, \$43,431,000 in 1983, \$37,135,000 in 1982 and \$29,078,000 in 1981. More than 80% of these taxes are payroll and property taxes.

Stock purchase and savings plans are offered by the Company for its employees. These plans are designed to provide the employees a consistent investment program to provide for their retirement and an opportunity to participate in the Company's growth. The Company's contributions to these plans were \$21,436,000 in 1985, \$21,043,000 in 1984, \$19,004,000 in 1983, \$13,323,000 in 1982 and \$11,565,000 in 1981.

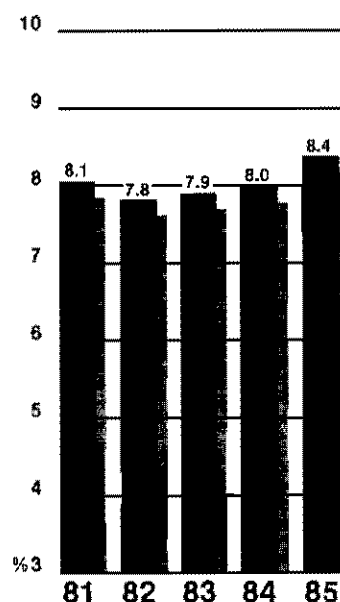
The Tandy Employees Deferred Salary and Investment Plan became effective on July 1, 1982. Under this plan an employee electing to participate in the plan may defer 5% of annual compensation, which the Company pays into the plan as a deferred salary contribution for the account of the employee. The Company matches 80% of the employee's deferred salary contribution. The employee's 5% contribution is considered deferred compensation and is not taxed to the employee as long as it is kept in the plan. The employee

investment plan is available to most employees who have been employed two years. An employee may elect to contribute an additional 5% of annual compensation to the plan, but this additional contribution is not considered deferred compensation and is taxable to the employee. The Company's contributions are fully vested upon payment to the trustee. Administrative committees appointed by the Company's Board of Directors invest the plan's assets. A substantial majority of the plan's assets are invested in Tandy Corporation securities.

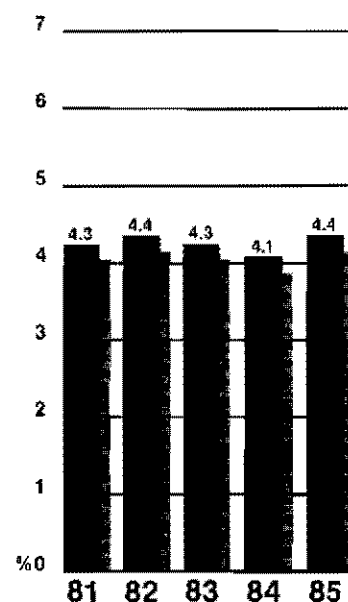
The Company also has a stock purchase program available to most employees. Each participant may contribute 1% to 5% or 10% of annual compensation. The Company matches 40%, 60% or 80% of the employee's contribution depending on the length of the employee's participation in the program. The Company periodically purchases treasury stock on the open market and then sells the number of shares required by the program each month at a price equal to the average of the daily closing prices for that month. The stock purchased by each participant is distributed annually after the close of the program's year, December 31. In the event treasury shares are not available, authorized but unsold shares can be used. However, to date the Company has always funded the program with open market purchases and it is the present intention of management to continue this procedure.

Other selling, general and administrative expenses were \$197,416,000 in fiscal 1985, \$180,745,000 in 1984, \$166,576,000 in 1983, \$139,724,000 in 1982 and \$107,218,000 in 1981. These other expenses represented less than 20% of the total selling, general and administrative expenses for the five years ended June 30, 1985. The Company's growth and inflation have contributed to the year-to-year increases in these other costs. Postage, office supplies, reproduction expenses, utilities, telephone costs, insurance and other items are included in these amounts. FAS No. 52 foreign currency transaction gains or losses for fiscal 1985, 1984 and 1983 are discussed under International and Domestic Operations.

ADVERTISING EXPENSE AS A PERCENT OF SALES AND OPERATING REVENUES



RENT EXPENSE AS A PERCENT OF SALES AND OPERATING REVENUES



Depreciation and Amortization

Depreciation and amortization expense for fiscal 1985 was \$51,947,000, an increase of \$5,868,000 from the 1984 depreciation and amortization of \$46,079,000. Depreciation was 1.8% of sales and operating revenues in 1985 compared to 1.7% in 1984, 1.5% in 1983 and 1.4% in the two years ended June 30, 1982. The primary reason for the increases in depreciation as a percentage of sales and operating revenues in the last three fiscal years has been acquisitions of manufacturing companies. Also, the slowdown in the growth of sales during fiscal 1985 had an adverse effect on this ratio. The continued growth and remodeling of the retail store system along with additions to and remodeling of manufacturing plants and distribution facilities have added to the Company's depreciation expense. Fixed asset accounting policies are described on pages 27 and 28. Capital expenditures by operating areas, including a three-year analysis of additions, retirements and sales of property and equipment, are discussed on pages 34 through 37.

Net Interest Expense

Net interest expense increased to \$55,682,000 in fiscal 1985 from \$4,363,000 in 1984 and \$8,905,000 in 1983. The significant increase in net interest expense for 1985 was principally caused by the borrowings related to the repurchase of stock through a cash tender offer in the fourth quarter of fiscal 1984 and a reduction in the Company's level of cash investments caused by the stock repurchase, the acquisition of Scott-McDuff and the slowdown in cash flow provided by operations. The purchase of O'Sullivan Industries in fiscal 1984 and open market stock purchases of approximately \$237,000,000 during the two year period ended June 30, 1985 also affected net interest expense by either reducing cash investments or increasing borrowings. Interest costs related to the borrowings incurred for the stock repurchase were

\$28,088,000 in fiscal 1985 and \$3,048,000 in 1984. More information on these borrowings is included in the discussion of long-term debt.

Average short-term debt, domestic and foreign, increased to \$141,400,000 in fiscal 1985 from \$44,300,000 in 1984. Also, the weighted average interest rate for these borrowings increased to 11.2% in fiscal 1985 from 10.8% in 1984. During fiscal 1983, 1982 and 1981, the averages of short-term debt were approximately \$48,700,000, \$39,100,000 and \$57,900,000. The weighted average interest rates for these borrowings were 11.8% in 1983, 15.8% in 1982 and 13.3% in 1981.

The Company's cash and short-term investment position decreased during fiscal 1985—averaging \$93,000,000 for the twelve months ended June 30, 1985 and \$263,000,000 for fiscal 1984. The major expenditures of cash to purchase stock and Scott-McDuff reduced the average funds invested during fiscal 1985. In fiscal 1983 the average of cash and short-term investments was \$188,000,000. The Company's cash position fluctuates significantly because of seasonal cash requirements and sales. Purchases of inventory for the Christmas selling season use much of the cash flow during the early part of the fiscal year while the heavy influx of cash from Christmas sales replenishes funds. Interest rates for fiscal 1985 and 1984 and the last half of fiscal 1983 were fairly comparable.

Provision for Income Taxes

The Company provides for income taxes on all items included in the consolidated statements of income regardless of the period when such items are reported for tax purposes. The Company principally uses the "flow-through" method for investment tax credits. Under the "flow-through" method, income taxes are reduced in the year an asset is placed in service by the amount of the investment credit. The domestic and foreign components of pretax income as well as the

Components of Interest Expense

In thousands.	Year Ended June 30,				
	1985	1984	1983	1982	1981
10% debentures due 1991	\$ 9,808	\$ 9,808	\$ 9,808	\$ 9,808	\$ 9,808
10% debentures due 1994	3,602	3,556	3,516	3,481	3,450
Senior borrowings related to tender offer	28,088	3,048	—	—	—
Foreign indebtedness	6,946	4,417	4,714	6,066	4,204
Other	11,572	7,076	6,006	2,759	5,171
	<u>60,016</u>	<u>27,905</u>	<u>24,044</u>	<u>22,114</u>	<u>22,633</u>
Less interest income	4,334	23,542	15,139	20,946	7,179
	<u>\$55,682</u>	<u>\$ 4,363</u>	<u>\$ 8,905</u>	<u>\$ 1,168</u>	<u>\$15,454</u>

Income Tax Expense

In thousands.

Year Ended June 30,

	1985	1984	1983	1982	1981
Current					
Federal	\$137,406	\$203,034	\$200,492	\$159,007	\$122,678
State	14,243	20,623	19,051	15,981	10,568
Foreign	23,295	23,065	25,007	21,604	15,882
	<u>174,944</u>	<u>246,722</u>	<u>244,550</u>	<u>196,592</u>	<u>149,128</u>
Deferred					
Federal	(11,848)	6,422	3,118	3,879	2,318
Foreign	(745)	(336)	1,093	(1,169)	(431)
	<u>(12,593)</u>	<u>6,086</u>	<u>4,211</u>	<u>2,710</u>	<u>1,887</u>
Total income tax expense	<u>\$162,351</u>	<u>\$252,808</u>	<u>\$248,761</u>	<u>\$199,302</u>	<u>\$151,015</u>

Statutory vs. Effective Tax

In thousands.

Year Ended June 30,

	1985	1984	1983	1982	1981
Components of pretax income:					
United States	\$324,929	\$481,272	\$474,776	\$367,970	\$285,089
Foreign	26,482	53,407	52,506	55,417	35,528
Income before income taxes	351,411	534,679	527,282	423,387	320,617
Statutory tax rate	x 46%	x 46%	x 46%	x 46%	x 46%
Federal income tax at statutory rate	\$161,649	\$245,952	\$242,550	\$194,758	\$147,484
Investment tax credit	(4,759)	(5,743)	(5,494)	(5,310)	(2,992)
State and provincial income taxes, less federal income tax benefit	9,831	13,349	12,075	10,177	6,970
Other, net	(4,370)	(750)	(370)	(323)	(447)
Total income tax expense	<u>\$162,351</u>	<u>\$252,808</u>	<u>\$248,761</u>	<u>\$199,302</u>	<u>\$151,015</u>
Effective tax rate	<u>46.2%</u>	<u>47.3%</u>	<u>47.2%</u>	<u>47.1%</u>	<u>47.1%</u>

differences between the effective tax rate and the statutory rate are detailed in the accompanying charts. The U.S. statutory tax rate for the five years ended June 30, 1985 was 46%.

Certain provisions of the income tax laws and regulations result in some income and expense items being recorded in one period for financial accounting purposes and in another period for income tax purposes. Such items, which are included in the provision for income taxes as deferred taxes, relate primarily to inventory write-downs; differences between tax and book depreciation and amortization, income from installment sales and provisions for future losses; changes in inter-company profits in ending inventories not eliminated for tax purposes; taxes provided on net undistributed earnings of certain foreign subsidiaries not currently taxable in the United States; and unrealized gains or losses on foreign currency translation. The tax effect of each of these timing differences was less than 5% of the amount computed by multiplying pretax income for the year by the statutory tax rate, except for the \$15,175,000 tax effect related to write-downs on merchandise remaining in inventory at June 30, 1985. The 1985 tax provision includes a one-time credit of \$2,101,000 because of a change made by

the Tax Reform Act of 1984 whereby income taxes on qualified earnings of Domestic International Sales Corporations were forgiven.

Net Income and Earnings Per Share

For the five years ended June 30, 1985, net income has increased at a rate of 13%, calculated by the least squares method, although net income declined from \$281,871,000 in fiscal 1984 to \$189,060,000 in 1985. The five-year growth rate of net income per share was 15%. The percentage decrease in net income between 1984 and 1985 was 33% after an increase of 1% between fiscal 1983 and 1984. Net income increased 24% from fiscal 1982 to 1983 and 32% from 1981 to 1982.

Per share amounts are based on the weighted average shares of common stock and common stock equivalents outstanding during the year. The purchase and retirement of 10,000,000 shares of stock through a tender offer in the last quarter of fiscal 1984 reduced the number of shares outstanding and had a favorable effect on the per share calculation for the fourth quarter of fiscal 1984 and all of fiscal 1985. Because this purchase was not made until the fourth quarter of fiscal 1984, this transaction had a greater effect on the weighted average for shares

outstanding in fiscal 1985 than on the fiscal 1984 average shares. In addition, open market purchases in fiscal 1984 of 2,785,000 shares and fiscal 1985 of 5,651,000 shares also affected the 1985 weighted average of shares outstanding. Treasury stock purchases in fiscal 1980 and 1979 favorably affected the per share calculations in those years. The convertible debentures issued in October 1978 were considered common stock equivalents for calculating earnings per share during the time they were outstanding. The per share amounts reflect two-for-one stock splits in December and May of fiscal 1981 and two-for-one stock splits in fiscal 1978 and 1976.

Historically the Company has not paid cash dividends. The Board of Directors periodically reviews the dividend policy. No change is contemplated at this time.

International and Domestic Operations

Sales and operating revenues from unaffiliated customers by operations outside the United States were 13.5% of 1985's consolidated sales, or \$383,062,000 in U.S. dollars. In 1984 the non-U.S. sales were \$395,968,000 or 14.3% of total sales. Non-U.S. sales for 1983 totaled \$388,256,000 and represented 15.5% of the consolidated sales.

Financial Accounting Standards Board's Statement No. 52, Foreign Currency Translation, was adopted by the Company when it was issued in fiscal 1982. Under this standard, most of the effects of translation rate changes related to net assets located outside the United States are recorded in a separate account in stockholders' equity. Foreign currency translation adjustments included in stockholders' equity were \$7,743,000 net of deferred taxes of \$6,596,000 in fiscal 1985 and \$5,375,000 net of deferred taxes of \$9,758,000 in fiscal 1984. In fiscal 1983 these foreign currency translation adjustments totaled \$3,980,000 net of \$3,390,000 in deferred taxes. Under FAS No. 52 only net gains or losses from foreign currency transactions are included in selling, general and administrative expenses. There were net losses of \$1,212,000 in fiscal 1985 compared to net gains of \$665,000 in fiscal 1984 and net losses of \$590,000 in 1983. Under the provisions of FAS No. 52, balance sheet accounts are translated from foreign currencies into U.S. dollars at year-end rates while income and expenses are translated at the weighted average exchange rates for the year.

Canadian gains in sales and operating revenues for the fiscal year 1985 were 8.9%

in Canadian dollars and 2.0% in U.S. dollars. In fiscal 1984 the Canadian dollar increase in sales was 7.9% while the increase in U.S. dollars was 7.3%. Fiscal 1983 Canadian sales increased 19.1% in Canadian dollars and 16.8% in U.S. dollars. Sales increases have been greater in Canadian dollars than in U.S. dollars because the Canadian dollar has dropped in value relative to the U.S. dollar during these years. Canadian operating profits were 14.4% of sales and operating revenues in 1985 compared to 16.0% in 1984 and 14.0% in 1983.

European sales and operating results have continued to be adversely affected by the strength of the U.S. dollar against European currencies, general market conditions, competition and legal restrictions on price increases in certain countries. The strong dollar and price controls have eroded gross margins, particularly on the Continent where gross margins declined in fiscal 1985 and 1984. The European operations for 1985 showed sales gains in local currencies of 3.5%, but the conversion of these sales into U.S. dollars resulted in a sales decrease of 8.7%. The European operations have reported operating losses in both local currencies and U.S. dollars for each of the three years ended June 30, 1985. Transaction losses for fiscal 1985 and 1984 included in the European operating losses were \$392,000 and \$1,521,000. The fiscal 1983 operating losses for Europe included \$1,304,000 in transaction losses.

Retail operations in Australia, included in the Pacific/Asia operations, have been affected by the devaluation of the Australian dollar. Sales gains of 9.7% in Australian dollars were recorded in fiscal 1985 while sales in U.S. dollars declined 3.3% because of the strength of the U.S. dollar. In 1984 sales gains of 5.1% were recorded in Australian dollars while these same sales in U.S. dollars showed no gains. Sales gains of 27.1% in Australian dollars were recorded in fiscal 1983. After translation into U.S. dollars these gains were reduced to 8.5%. The effect of the strong U.S. dollar caused the Australian operating profits to decline in fiscal 1985 and 1984 after an increase in 1983.

The Company has manufacturing and purchasing operations in several Asian countries. Manufacturing operations are located in Japan, Korea and Taiwan. A&A International, a U.S. subsidiary of the Company, purchases approximately 40% of the products in the 1986 Radio Shack catalog as well as some parts used in the Company's manufacturing operations. A&A has affiliates in Hong Kong,

Operations by Geographic Area

Tandy Corporation and Subsidiaries

In thousands.

	United States	Canada	Europe	Pacific/Asia	Eliminations	Consolidated
1985						
Sales and operating revenues—						
unaffiliated customers	\$2,458,372	\$205,772	\$116,087	\$ 61,203	\$ —	\$2,841,434
Transfers between						
geographic areas	83,504	—	59	303,468	(387,031)	—
Total sales and operating revenues	<u>\$2,541,876</u>	<u>\$205,772</u>	<u>\$116,146</u>	<u>\$364,671</u>	<u>\$(387,031)</u>	<u>\$2,841,434</u>
Operating profit (loss)	<u>\$ 377,051</u>	<u>\$ 29,535</u>	<u>\$ (18,222)</u>	<u>\$ 22,067</u>	<u>\$ 638</u>	<u>\$ 411,069</u>
General corporate expenses						(3,976)
Interest expense, net						(55,682)
Income before taxes						<u>\$ 351,411</u>
Identifiable assets-June 30,1985	<u>\$1,487,617</u>	<u>\$106,675</u>	<u>\$107,605</u>	<u>\$ 91,187</u>	<u>\$ (17,733)</u>	<u>\$1,775,351</u>
Corporate assets						147,627
Total assets at June 30,1985						<u>\$1,922,978</u>
1984						
Sales and operating revenues—						
unaffiliated customers	\$2,379,528	\$201,679	\$127,154	\$ 67,135	\$ —	\$2,775,496
Transfers between						
geographic areas	62,138	—	278	434,323	(496,739)	—
Total sales and operating revenues	<u>\$2,441,666</u>	<u>\$201,679</u>	<u>\$127,432</u>	<u>\$501,458</u>	<u>\$(496,739)</u>	<u>\$2,775,496</u>
Operating profit (loss)	<u>\$ 500,704</u>	<u>\$ 32,300</u>	<u>\$ (14,487)</u>	<u>\$ 22,966</u>	<u>\$ 2,628</u>	<u>\$ 544,111</u>
General corporate expenses						(5,069)
Interest expense, net						(4,363)
Income before taxes						<u>\$ 534,679</u>
Identifiable assets-June 30,1984	<u>\$1,180,556</u>	<u>\$ 86,472</u>	<u>\$ 87,882</u>	<u>\$111,035</u>	<u>\$ (18,371)</u>	<u>\$1,447,574</u>
Corporate assets						204,870
Total assets at June 30,1984						<u>\$1,652,444</u>
1983						
Sales and operating revenues—						
unaffiliated customers	\$2,118,198	\$187,879	\$131,812	\$ 68,565	\$ —	\$2,506,454
Transfers between						
geographic areas	75,936	5	91	398,300	(474,332)	—
Total sales and operating revenues	<u>\$2,194,134</u>	<u>\$187,884</u>	<u>\$131,903</u>	<u>\$466,865</u>	<u>\$(474,332)</u>	<u>\$2,506,454</u>
Operating profit (loss)	<u>\$ 498,340</u>	<u>\$ 26,349</u>	<u>\$ (8,212)</u>	<u>\$ 26,624</u>	<u>\$ (1,012)</u>	<u>\$ 542,089</u>
General corporate expenses						(5,902)
Interest expense, net						(8,905)
Income before taxes						<u>\$ 527,282</u>
Identifiable assets-June 30,1983	<u>\$ 966,305</u>	<u>\$ 79,671</u>	<u>\$100,792</u>	<u>\$ 96,098</u>	<u>\$ (20,999)</u>	<u>\$1,221,867</u>
Corporate assets						360,041
Total assets at June 30,1983						<u>\$1,581,908</u>

Note: Operating profit (loss) represents all revenues of the geographic segment less all operating expenses attributable to that segment. The operating profits or losses of a geographic location exclude corporate expenses, net interest expense and income taxes. Transfers between geographic areas are generally recorded at market price.

Quarterly Data

(Unaudited)

Tandy Corporation and Subsidiaries

In thousands, except per share amounts.

	September 30, 1984	September 30, 1983	December 31, 1984
Net sales and operating revenues	\$605,291	\$592,504	\$903,749
Other income	1,951	180	1,723
	<u>607,242</u>	<u>592,684</u>	<u>905,472</u>
Costs and expenses:			
Cost of products sold	268,900	239,805	406,145
Selling, general and administrative	247,360	229,172	324,276
Depreciation and amortization	12,652	10,327	13,016
Interest expense, net of interest income	11,301	428	17,055
	<u>540,213</u>	<u>479,732</u>	<u>760,492</u>
Income before income taxes	67,029	112,952	144,980
Provision for income taxes	29,638	53,313	68,431
Net income	<u>\$ 37,391</u>	<u>\$ 59,639</u>	<u>\$ 76,549</u>
 Net income per average common share	 <u>\$.41</u>	 <u>\$.57</u>	 <u>\$.86</u>
 Average common shares outstanding . . .	 <u>92,097</u>	 <u>104,667</u>	 <u>89,047</u>

Japan, Taiwan and Korea. Transfers between geographic areas shown on the Operations by Geographic Area table are essentially intercompany transfers of goods out of the Asian region. The domestic and foreign manufacturing operations transfer goods to A&A International in the United States or to A&A's affiliates in the Orient. Also, A&A's affiliates purchase goods from outside suppliers to transfer to A&A International. A&A then transfers these products to Radio Shack, Tandy International Electronics and the Pacific/Asian retail operations.

Tandy Corporation's line of business is consumer electronics retailing. The Company's consolidated financial statements include the accounts of the Company and its wholly owned subsidiaries. All significant intercompany transactions and balances have been eliminated. The Company's primary domestic operations are Radio Shack, A&A International and the domestic manufacturing operations. The assets of Scott-McDuff were purchased effective April 1, 1985. Sales and operating revenues of these 24 audio-video-appliance stores were approximately \$12,300,000 between the effective date of the purchase and June 30, 1985. The purchase of the assets of 207 VideoConcepts stores was not completed until August 1985 and, therefore, is not included in the fiscal 1985 consolidated financial statements. Neither of these acquisitions is considered material to the financial statements. The stores of Scott-McDuff and VideoConcepts will operate independent of the Radio Shack stores. O'Sullivan Industries, a manufacturer/wholesaler

of consumer electronic stands, racks, desks and accessories, was acquired in December 1983. Since the effective date of this purchase was August 31, 1983, the operations of O'Sullivan from September 1, 1983 have been included in the consolidated financial statements since the second quarter of fiscal 1984. During fiscal 1982 the domestic portion of the Consumer Products Division of Memorex was acquired. This added video tape manufacturing to the Company's manufacturing operations. Memtek Products markets a line of Memorex audio and video products and operates totally independent of Radio Shack.

The Company obtains merchandise from a large number of suppliers. No single vendor accounted for more than 10% of the cost of goods sold in fiscal 1985. Alternative sources of supply exist for all of the merchandise purchased by the Company. However, a shortage of semiconductors during fiscal 1984 caused some delays in receiving merchandise and also affected production schedules at some of the Company's manufacturing operations.

The consumer electronics business is highly competitive. Tandy competes in the sale of its products with department stores, mail order houses, discount stores, general merchants, home appliance stores and gift stores which sell comparable products manufactured by others. Domestic competitors range in size from the local drug and hardware stores to large chains and department stores. Computer store chains, franchise

December 31, 1983	March 31, 1985	Quarter Ended March 31, 1984	June 30, 1985	June 30, 1984
\$908,113	\$680,315	\$665,651	\$652,079	\$609,228
1,736	3,861	3,554	3,995	3,513
<u>909,849</u>	<u>684,176</u>	<u>669,205</u>	<u>656,074</u>	<u>612,741</u>
400,415	332,495	285,975	284,249	258,336
300,884	283,242	254,334	247,257	230,437
12,456	13,467	12,402	12,812	10,894
4,350	13,436	(1,984)	13,890	1,569
<u>718,105</u>	<u>642,640</u>	<u>550,727</u>	<u>558,208</u>	<u>501,236</u>
191,744	41,536	118,478	97,866	111,505
90,503	19,604	55,922	44,678	53,070
<u>\$101,241</u>	<u>\$ 21,932</u>	<u>\$ 62,556</u>	<u>\$ 53,188</u>	<u>\$ 58,435</u>
<u>\$.98</u>	<u>\$.25</u>	<u>\$.60</u>	<u>\$.60</u>	<u>\$.60</u>
<u>103,793</u>	<u>88,260</u>	<u>103,987</u>	<u>88,499</u>	<u>96,823</u>

groups and independent computer stores compete with the Company in the microcomputer marketplace. Several major retailers have entered the microcomputer marketplace. Competition is also encountered from manufacturers, such as IBM, selling directly to consumers. The products which compete with those sold by the Company are manufactured by numerous domestic and foreign manufacturers and many of them carry nationally recognized brand names or private labels. Many of the Company's competitors

have financial resources equal to or greater than the Company's resources.

Management believes that among the factors that are important to its competitive position are price, quality, service and the wide selection of electronic products carried at conveniently located retail outlets. The Company's utilization of trained personnel and its ability to use national and local advertising media are important to the Company's ability to compete in the consumer electronics market.



Realistic® System 800. A complete, integrated stereo component system with amplifier/equalizer, tuner, turntable, dual-cassette deck, speakers and audio rack.

CONSOLIDATED BALANCE SHEETS

Tandy Corporation and Subsidiaries In thousands.	June 30,	
	1985	1984
Assets		
Current assets:		
Cash and short-term investments	\$ 90,194	\$ 154,655
Accounts and notes receivable, less allowance for doubtful accounts	105,159	122,910
Inventories	1,197,421	910,530
Other current assets	63,995	40,456
Total current assets	<u>1,456,769</u>	<u>1,228,551</u>
Property and equipment, at cost:		
Consumer electronics operations, net of accumulated depreciation	251,904	227,701
Tandy Center, net of accumulated depreciation	58,725	61,153
	<u>310,629</u>	<u>288,854</u>
Other assets, net of accumulated amortization	155,580	135,039
	<u>\$1,922,978</u>	<u>\$1,652,444</u>
Liabilities and Stockholders' Equity		
Current liabilities:		
Notes payable	\$ 135,406	\$ 51,036
Accounts payable	93,467	88,961
Accrued expenses	144,181	130,386
Income taxes payable	1,975	5,003
Total current liabilities	<u>375,029</u>	<u>275,386</u>
Notes payable, due after one year	320,068	224,297
Subordinated debentures, net of unamortized bond discount	123,610	123,251
Deferred income taxes	23,272	22,502
Other non-current liabilities	17,545	18,312
Total other liabilities	<u>484,495</u>	<u>388,362</u>
Stockholders' equity:		
Preferred stock, no par value, 1,000,000 shares authorized, none issued or outstanding	—	—
Common stock, \$1 par value, 250,000,000 shares authorized with 95,645,000 shares issued	95,645	95,645
Additional paid-in capital	76,830	75,413
Retained earnings	1,103,357	914,297
Foreign currency translation effects	(29,415)	(21,672)
Common stock in treasury, at cost, 6,998,000 and 2,719,000 shares, respectively	(182,963)	(74,987)
Total stockholders' equity	<u>1,063,454</u>	<u>988,696</u>
Commitments and contingent liabilities		
	<u>\$1,922,978</u>	<u>\$1,652,444</u>

Current Assets

Cash and short-term investments were \$90,194,000 at June 30, 1985 compared to \$154,655,000 at June 30, 1984. Cash and short-term investments declined between the end of fiscal 1984 and June 30, 1985 because of a reduction in cash flow from operations caused by the decline in operating income, cash used for the acquisition of Scott-McDuff and purchases of 5,651,000 shares of the Company's stock on the open market for \$144,448,000.

Short-term investments are carried at cost, which approximates market value. The weighted average interest rate for the \$21,210,000 of short-term investments at June 30, 1985 was approximately 7.5% compared to 10.7% for the \$107,979,000 invested at June 30, 1984.

Accounts and notes receivable were \$105,159,000 at June 30, 1985, a decrease from the \$122,910,000 at June 30, 1984. The retail stores generally sell their products for cash or through major bank credit cards. In addition, 30-day charge accounts and leases are provided for sales of computer and business products to large and small businesses, schools, professional firms and other purchasers of high-dollar computer equipment. Accounts and notes receivable have increased in recent years with the growth in high-dollar computer sales. However, the decline in computer sales during fiscal 1985 also reduced the total of charge accounts related to these sales. The current portion of computer lease receivables at June 30, 1985 was \$17,954,000 compared to \$18,974,000 at the end of fiscal 1984.

Inventories were \$1,197,421,000 at June 30, 1985, 31.5% higher than the inventory level at the end of fiscal 1984. Inventory levels have been increased in anticipation of sales growth in fiscal 1986. Also, the introduction of new computer products and related software in late fiscal 1984 and fiscal 1985 added to the June 30, 1985 inventory levels.

The breakdown of finished merchandise and raw materials and work in progress in the accompanying chart indicates that the year-to-year increase is related to finished

merchandise. Overall the inventories of the manufacturing operations declined as production levels were reduced to compensate for the slowdown in computer sales. The finished merchandise growth is primarily in the Radio Shack-U.S. store/warehouse system. The average inventory of a U.S. company-owned store, including Computer Centers and Telephone Centers but excluding warehouse inventories, was \$78,000 in fiscal 1985 compared to \$72,900 in 1984 and \$69,900 in 1983. The number of company-owned stores increased by 2.4%, with a 3.5% increase in the United States. Inventory turnover (unaudited) was 1.19 for fiscal 1985 compared to 1.35 in 1984 and 1.28 in 1983.

Inventories are valued at cost or market, whichever is lower. The average cost method is primarily used to determine the cost of the inventory.

Other current assets include prepaid expenses such as rent, catalog costs and prepaid income taxes. The prepaid income taxes, which result primarily from the elimination of intercompany profits for financial purposes that are reported currently for tax purposes and inventory write-downs taken for financial purposes but not recognized for tax purposes, were \$32,830,000 at June 30, 1985 and \$11,762,000 at June 30, 1984.

Property and Equipment

Property and equipment, net of accumulated depreciation, increased from \$288,854,000 at June 30, 1984 to \$310,629,000 at the end of fiscal 1985. A discussion and analysis of capital expenditures by operating function is given on page 34. A three-year analysis of property and equipment and the related accumulated depreciation is presented on pages 36 and 37.

When depreciable assets are sold or retired, the related cost and accumulated depreciation are removed from the accounts. Any gains or losses are included in other income. Major additions and betterments are capitalized. Maintenance and repairs which do not materially improve or extend the lives of the respective assets are charged to operating expenses as incurred.

Inventories

	June 30,				
In thousands.	1985	1984	1983	1982	1981
Finished merchandise	\$1,127,015	\$810,732	\$773,093	\$604,124	\$475,377
Raw materials and work in progress	70,406	99,798	71,004	66,444	38,332
	<u>\$1,197,421</u>	<u>\$910,530</u>	<u>\$844,097</u>	<u>\$670,568</u>	<u>\$513,709</u>

CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY

Tandy Corporation and Subsidiaries Three Years Ended June 30, 1985

In thousands.

	Shares		
	Issued	Treasury Stock	Outstanding
Balance at June 30, 1982	105,645	(1,789)	103,856
Foreign currency translation adjustments for the period	—	—	—
Sale of treasury stock to employee stock purchase program	—	813	813
Net income	—	—	—
Balance at June 30, 1983	105,645	(976)	104,669
Purchase and retirement of stock through tender offer	(10,000)	—	(10,000)
Purchase of treasury stock	—	(2,785)	(2,785)
Foreign currency translation adjustments for the period	—	—	—
Sale of treasury stock to employee stock purchase program	—	1,042	1,042
Net income	—	—	—
Balance at June 30, 1984	95,645	(2,719)	92,926
Purchase of treasury stock	—	(5,651)	(5,651)
Foreign currency translation adjustments for the period	—	—	—
Sale of treasury stock to employee stock purchase program	—	1,372	1,372
Net income	—	—	—
Balance at June 30, 1985	95,645	(6,998)	88,647

The Review of Operations and Financial Information, pages 12 to 39, is an integral part of these statements.

For financial reporting purposes, depreciation and amortization are calculated primarily using the straight-line method, which amortizes the cost of the assets over their estimated useful lives. The ranges of estimated useful lives are:

Buildings	10-40 years
Machinery and equipment	2-15 years
Leasehold improvements	the shorter of the life of the improvements or the term of the related lease

Other Assets

Other assets were \$155,580,000 at June 30, 1985, compared to \$135,039,000 at June 30, 1984. The largest item in this category at June 30, 1985 was the excess purchase price over the net tangible assets of businesses acquired. This amount, net of amortization, was \$84,065,000. Amortization is generally recorded over a 40-year period using the straight-line method. Also included in the other assets is the long-term portion of computer lease receivables which totaled \$20,111,000 at the end of fiscal 1985 and \$20,664,000 at June 30, 1984.

Current Liabilities

Notes payable outstanding and due within one year were:

In thousands.	June 30,	
	1985	1984
Short-term indebtedness	\$133,409	\$48,845
Current portion of notes payable	1,997	2,191
	<u>\$135,406</u>	<u>\$51,036</u>

The Company had available domestic seasonal bank credit lines and bank money market lines of approximately \$317,500,000 at June 30, 1985, \$40,000,000 at June 30, 1984 and \$24,000,000 at June 30, 1983. Lines were significantly increased during early fiscal 1985 to support inventory purchases and the repurchase of the Company's common stock. At June 30, 1985 the lines remained at elevated levels to provide funding for building inventories in advance of the Christmas selling season. In recent fiscal years prior to 1985 there were greater levels of short-term investments to draw from for such seasonal inventory increases. The interest rates for these lines are negotiated at the time of borrowing and are predicated upon competitive rate conditions existing in the money markets. The Company is not expected to maintain compensating balances on the lines available at

Amount					
Common Stock	Additional Paid-in Capital	Retained Earnings	Foreign Currency Translation Effects	Treasury Stock	Total
\$105,645	\$39,627	\$ 691,105	\$(12,317)	\$ (11,383)	\$ 812,677
—	—	—	(3,980)	—	(3,980)
—	28,484	—	—	5,170	33,654
—	—	278,521	—	—	278,521
105,645	68,111	969,626	(16,297)	(6,213)	1,120,872
(10,000)	(7,800)	(337,200)	—	—	(355,000)
—	—	—	—	(92,535)	(92,535)
—	—	—	(5,375)	—	(5,375)
—	15,102	—	—	23,761	38,863
—	—	281,871	—	—	281,871
95,645	75,413	914,297	(21,672)	(74,987)	988,696
—	—	—	—	(144,448)	(144,448)
—	—	—	(7,743)	—	(7,743)
—	1,417	—	—	36,472	37,889
—	—	189,060	—	—	189,060
\$ 95,645	\$76,830	\$1,103,357	\$(29,415)	\$(182,963)	\$1,063,454

June 30, 1985. Of the \$40,000,000 of bank lines of credit that were available at June 30, 1984, \$28,000,000 of these lines required compensating balances of \$1,800,000. Compensating balances, when required, are not legally restricted. In fiscal 1985, 1984 and 1983 there were instances where part or all of the requirements for compensating balances were waived. At June 30, 1985, \$58,500,000 was outstanding under these lines at a weighted average interest rate of 8.4%. At June 30, 1984 and 1983, the Company had no domestic seasonal borrowings outstanding.

The weighted average of domestic seasonal loans outstanding during fiscal 1985 was \$79,500,000 and the weighted average interest rate, based on interest costs incurred, was 11.1%. The maximum amount outstanding at any month end was approximately \$247,600,000. For fiscal 1984 such loans averaged \$3,100,000 and had a weighted average interest rate, based on interest costs incurred, of 11.7%. The maximum amount outstanding at any month end during fiscal 1984 was approximately \$25,300,000. During 1983 the weighted average of domestic seasonal loans outstanding was approximately \$3,700,000 and had a weighted average interest rate of 11.2%. The maximum amount outstanding at any month end during fiscal 1983 was approximately \$31,000,000.

The Company's short-term bank indebtedness relating to foreign operations is primarily unsecured borrowings on overdraft and other lines, some of which provide for foreign acceptances. Short-term foreign lines of credit were approximately \$234,000,000 at the end of 1985, \$191,000,000 at the end of 1984 and \$171,000,000 at the end of 1983. No compensating balances are required. The approximate amounts outstanding under these lines at the end of fiscal 1985, 1984 and 1983 were \$74,300,000, \$48,300,000 and \$49,000,000, respectively. The weighted average interest rates on amounts outstanding were 10.7%, 11.7% and 11.0% at the end of 1985, 1984 and 1983, respectively. Average foreign short-term bank borrowings were approximately \$61,900,000 in 1985, \$41,200,000 in 1984 and \$38,900,000 in 1983. The weighted average interest rates, based on interest costs incurred, were 11.2% in 1985, 10.7% in 1984 and 12.2% in 1983. The maximum amounts of such borrowings outstanding at any month end during fiscal 1985, 1984 and 1983 were \$77,778,000, \$50,564,000 and \$51,389,000, respectively.

Accounts payable are primarily amounts owed for merchandise. Amounts outstanding, if any, under letters of credit and acceptance lines of credit are included in this account. These instruments can be used as a method of short-term borrowing.

The Company's available letters of credit and acceptance lines of credit were approximately \$236,000,000 at June 30, 1985 and \$215,000,000 at June 30, 1984. No acceptances were outstanding at June 30, 1985 or June 30, 1984. There were no domestic banker's acceptances outstanding under these facilities during fiscal 1985 or 1984. No compensating balances are required on these acceptance lines. Letters of credit open against outstanding purchase orders were approximately \$123,000,000 at June 30, 1985 and \$45,000,000 at June 30, 1984.

Accrued expenses include amounts owed in the normal course of operations for payroll costs, sales and payroll taxes, rent, insurance, interest and other expenses. Accrued payroll and bonuses were \$61,492,000 at June 30, 1985 and \$61,173,000 at June 30, 1984. Sales and payroll taxes accrued at the end of fiscal 1985 and 1984 were \$15,240,000 and \$11,156,000, respectively. Amounts accrued for insurance were \$13,924,000 at June 30, 1985 and \$17,905,000 at June 30, 1984. Deferred service contract income is also included in this account and totaled \$15,431,000 at the end of fiscal 1985 and \$15,538,000 at the end of 1984. Accrued interest expense increased from \$790,000 at June 30, 1984 to \$14,211,000 at June 30, 1985 primarily because of interest accrued on the senior notes.

Income taxes payable were \$1,975,000 at June 30, 1985 compared to \$5,003,000 at June 30, 1984. The Company makes quarterly federal income tax deposits based on the current fiscal year's estimated taxable income.

Long-Term Debt

Maturities of the \$322,065,000 of notes payable at June 30, 1985 are:

1986	\$ 1,997,000
1987	156,170,000
1988	520,000
1989	150,101,000
1990	797,000
1991 and thereafter	12,480,000

In May 1984 the Company entered into a preliminary loan agreement with a group of banks for \$205,000,000 to fund a portion of the Company's tender offer for 10,000,000 shares. This interim borrowing transaction was made with the intent to enter into a long-term credit agreement. Such an agreement was entered into in August 1984. Loans totaling \$205,000,000 were executed under this agreement to refinance and pay off the loans originally drawn under the preliminary agreement. The interest rate on the interim loans was the short-term money market rate quoted by the banks, a weighted average rate of 11.8%. At June 30, 1984, the entire \$205,000,000 was outstanding at an interest rate of 11.8%. The same amount remained outstanding through December 27, 1984, at a weighted average rate of 11.6%, when the entire amount was repaid from the proceeds of a senior note issue. The long-term credit agreement entered into in August 1984 was terminated by the Company upon the repayment of the loans.

On December 27, 1984, the Company issued \$150,000,000 of 10¹/₈% senior notes due February 1987 and \$150,000,000 of 11% senior notes due February 1989. Proceeds of the notes were used to pay off the loans outstanding under the long-term bank credit agreement and to provide additional funds for working capital purposes. The notes are not redeemable.

In December 1976 the Company issued \$98,082,000 of 10% subordinated debentures due 1991 for 19,607,800 shares of common stock (adjusted for the stock splits in fiscal 1981 and 1978). The 10% subordinated debentures due 1994 were issued in fiscal 1975 in exchange for 19,504,000 shares (adjusted for the stock splits in fiscal 1981, 1978 and 1976) of common stock. The shares acquired in these exchanges were retired. Debt discount of \$9,894,000 relating to the debentures due 1994 was recorded based on an effective interest rate of 14.25% and is being amortized over the life of the bonds.

Long-Term Debt

In thousands.

	June 30,	
	1985	1984
Notes payable with interest rates ranging from 4% to 17.5% at June 30, 1985 and 1984	\$322,065	\$226,488
Less portion due within one year included in current notes payable	(1,997)	(2,191)
	<u>\$320,068</u>	<u>\$224,297</u>
Subordinated debentures:		
10% due 1991	\$ 98,082	\$ 98,082
10% due 1994, less unamortized discount of \$6,903,000 and \$7,262,000, respectively	25,528	25,169
	<u>\$123,610</u>	<u>\$123,251</u>

Investment Equation

(Unaudited)

	Asset Turnover	×	Return On Sales*	=	Return On Assets	×	Financial Leverage	=	Return On Equity
	<u>Sales*</u>	×	<u>Net Income</u>	=	<u>Net Income</u>	×	<u>Avg. Assets</u>	=	<u>Net Income</u>
June 30	<u>Avg. Assets</u>		<u>Sales*</u>		<u>Avg. Assets</u>		<u>Avg. Equity</u>		<u>Avg. Equity</u>
1976	2.04	×	8.7%	=	17.7%	×	2.18	=	38.7%
1977	2.16	×	7.3	=	15.7	×	2.37	=	37.2
1978	2.06	×	6.2	=	12.8	×	3.39	=	43.6
1979	2.09	×	6.9	=	14.3	×	3.35	=	47.9
1980	2.10	×	8.1	=	17.0	×	2.69	=	45.7
1981	2.06	×	10.0	=	20.6	×	1.93	=	39.7
1982	1.90	×	10.9	=	20.7	×	1.56	=	32.3
1983	1.78	×	11.1	=	19.8	×	1.45	=	28.8
1984	1.72	×	10.1	=	17.4	×	1.53	=	26.7
1985	1.59	×	6.7	=	10.6	×	1.74	=	18.4

*Net sales and operating revenues.

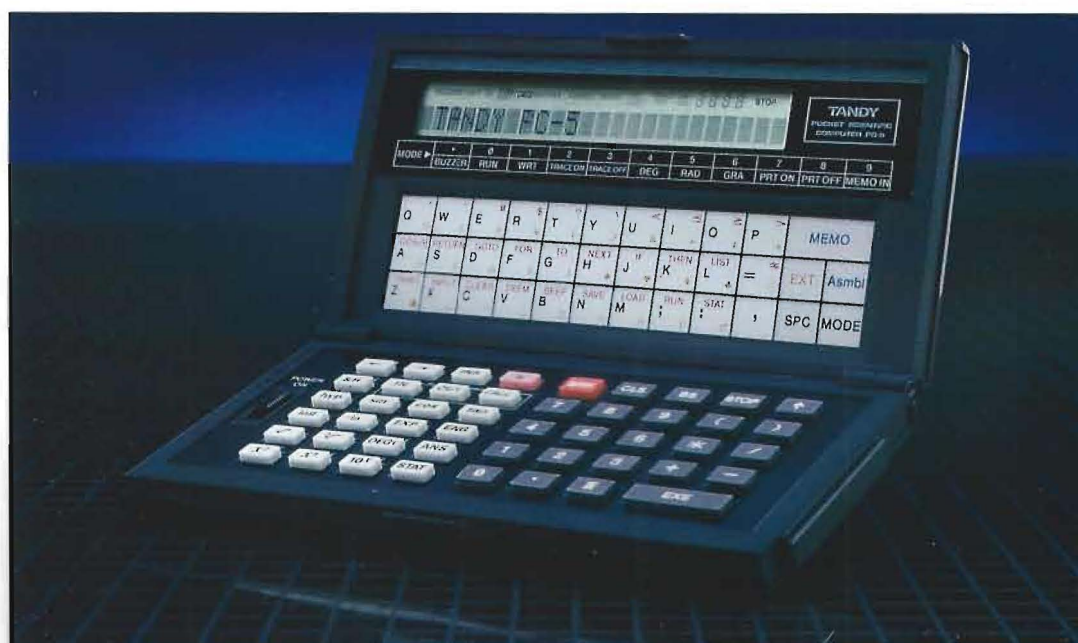
Stockholders' Equity

Stockholders' equity at June 30, 1985 was \$1,063,454,000 compared to \$988,696,000 at June 30, 1984. During fiscal 1985 the Company purchased 5,651,000 shares of its stock on the open market. This purchase reduced stockholders' equity by \$144,448,000. Stockholders' equity during fiscal 1985 was increased by net income of \$189,060,000 and the sale of 1,372,000 shares of stock to the employee stock purchase program for \$37,889,000. Foreign currency translation adjustments during fiscal 1985 reduced stockholders' equity by \$7,743,000. In fiscal 1984 the purchase and retirement of 10,000,000 shares of stock through a \$355,000,000 cash tender offer in the fourth quarter of that year had a significant impact on the balance sheet and, in particular, on stockholders' equity. In addition, approximately 2,785,000 shares of stock were purchased on the open market during

fiscal 1984 for \$92,535,000. The repurchases of stock, net of the shares issued to the employee stock purchase program, reduced the number of shares outstanding and thus affected the weighted average number of shares for calculating earnings per share.

Litigation

There are various claims, lawsuits, investigations and pending actions involving allegations of negligence, product defects, discrimination, patent infringement, tax deficiencies and breach of contracts against the Company and its subsidiaries incident to the operation of its business. The liability, if any, associated with these matters is not determinable at June 30, 1985. While certain of the lawsuits involve substantial amounts, it is the opinion of management that the ultimate resolution of such litigation will not have a material adverse effect on the Company's financial position or the results of operations.



The PC-5 combines the features of a calculator with 75 scientific functions and a pocket computer programmable in BASIC and assembly languages.

CONSOLIDATED STATEMENTS OF CHANGES IN FINANCIAL POSITION

Tandy Corporation and Subsidiaries

In thousands.

1985

Financial Resources Were Provided By:

Income from continuing operations	\$ 189,060
Items in income not affecting working capital:	
Depreciation and amortization	51,947
Other	10,409
Working capital provided by continuing operations	251,416
Additions to long-term borrowings	302,450
Sale of treasury stock to employee stock purchase program	37,889
Conversion of debentures into common stock	—
Issuance of debentures	—
	<u>591,755</u>

Financial Resources Were Used For:

Additions to property and equipment, net of retirements	75,016
Net assets other than working capital of company acquired for cash	15,493
Foreign currency translation adjustments, net	10,394
Reductions of long-term debt	206,828
Purchase of treasury stock	144,448
Decrease in 6 ¹ / ₂ % convertible subordinated debentures	—
Purchase of common stock related to tender offer	—
Retirement of common stock in exchange for debentures	—
Other, net	11,001
	<u>463,180</u>

Increase (Decrease) in Working Capital of Continuing Operations	128,575
--	----------------

Working capital provided (used) by discontinued operations	—
Working capital provided (used) by operations spun off	—

Increase (Decrease) in Working Capital	\$ 128,575
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Increases (Decreases) in Working Capital:

Cash and short-term investments	\$ (64,461)
Accounts and notes receivable, net	(17,751)
Inventories	286,891
Other current assets	23,539
Short-term debt, including current portion of long-term debt	(84,370)
Accounts payable	(4,506)
Accrued expenses	(13,795)
Income taxes payable	3,028

Increase (Decrease) in Working Capital	\$ 128,575
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The Review of Operations and Financial Information, pages 12 to 39, is an integral part of these statements.

Our MS[®]DOS line of computers is an affordable alternative to IBM's PC line. Multi-function DeskMate[®] software, included with the Tandy 1000, is now also available for use with many other computers.

The Tandy 6000 is a XENIX[®]-based multi-user office system capable of supporting up to six users. Coupled with our DT-100 terminals, it allows several people to work on different applications simultaneously.

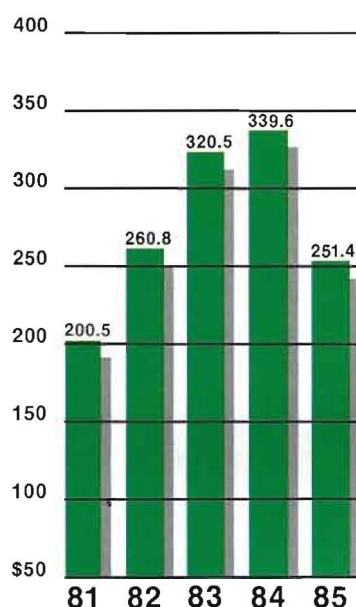


Year Ended June 30,

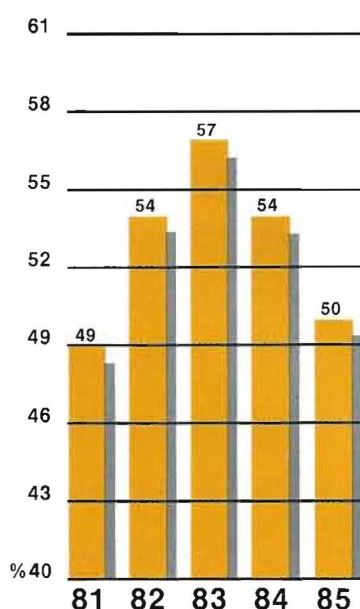
1984	1983	1982	1981	1980	1979	1978	1977	1976
\$ 281,871	\$278,521	\$224,085	\$169,602	\$112,235	\$ 83,229	\$ 66,146	\$ 71,819	\$64,281
46,079	38,679	29,437	23,288	19,110	17,121	13,879	11,140	8,034
11,673	3,272	7,318	7,637	(536)	3,772	3,437	3,572	2,936
339,623	320,472	260,840	200,527	130,809	104,122	83,462	86,531	75,251
208,000	370	18,209	903	—	5,081	110,000	—	—
38,863	33,654	29,048	21,077	15,833	12,954	10,000	8,632	7,343
—	—	—	98,552	—	—	—	—	—
—	—	—	—	—	98,875	—	98,039	—
586,486	354,496	308,097	321,059	146,642	221,032	203,462	193,202	82,594
57,144	72,675	67,678	48,494	31,063	26,579	50,357	41,518	26,420
84,413	—	—	—	—	—	—	—	—
7,558	6,928	10,688	—	—	—	—	—	—
3,462	5,530	1,470	3,523	2,165	111,750	3,208	4,130	49,571
92,535	—	—	—	53,342	27,396	—	21,180	5,306
—	—	—	99,954	—	—	—	—	—
355,000	—	—	—	—	—	101,487	—	—
—	—	—	—	—	—	—	98,039	—
10,408	8,027	17,825	26,003	7,578	(7,032)	(7,663)	(5,114)	(6,441)
610,520	93,160	97,661	177,974	94,148	158,693	147,389	159,753	74,856
(24,034)	261,336	210,436	143,085	52,494	62,339	56,073	33,449	7,738
—	—	—	—	—	—	—	5,084	—
—	—	—	—	—	—	—	—	(4,916)
\$ (24,034)	\$261,336	\$210,436	\$143,085	\$ 52,494	\$ 62,339	\$ 56,073	\$ 38,533	\$ 2,822
\$(125,088)	\$112,196	\$ 25,553	\$ 85,629	\$ 18,744	\$ 1,843	\$ 14,848	\$(23,354)	\$11,625
15,380	23,914	41,528	16,363	9,884	5,206	3,553	(2,360)	(1,096)
66,433	173,529	156,859	78,549	53,511	48,584	32,786	66,895	50,350
8,528	4,928	15,584	(2,393)	1,219	(1,562)	(2,400)	9,018	2,842
4,701	(30,795)	9,920	(8,944)	11,271	15,775	9,706	(20,001)	(15,243)
(24,321)	(999)	(9,081)	4,366	(24,536)	15,543	(1,965)	(14,725)	(11,345)
(15,332)	(22,929)	(24,919)	(8,036)	(6,827)	(9,958)	(2,449)	(4,727)	(15,914)
45,665	1,492	(5,008)	(22,449)	(10,772)	(13,092)	1,994	27,787	(18,397)
\$ (24,034)	\$261,336	\$210,436	\$143,085	\$ 52,494	\$ 62,339	\$ 56,073	\$ 38,533	\$ 2,822



WORKING CAPITAL PROVIDED BY OPERATIONS (IN MILLIONS OF DOLLARS)



SALES OF SELF-MANUFACTURED PRODUCTS AS A PERCENT OF SALES (UNAUDITED)



Sources and Uses of Working Capital

Working capital provided by operations was \$251,416,000 for fiscal 1985 compared to \$339,623,000 for 1984 and \$320,472,000 for 1983. The decline in working capital from operations between fiscal 1984 and 1985 reflects the decline in net income for the year ended June 30, 1985. Despite the impact of the turmoil within the microcomputer industry, the Company's operations still provided a strong flow of working capital that was more than three times the 1976 level of \$75,251,000. The major uses of financial resources shown in the Statement of Changes in Financial Position for fiscal 1985 were additions to property and equipment, the acquisition of Scott-McDuff and purchases of treasury stock. Also included in the 1985 statement is the issuance of \$300,000,000 of senior notes as an addition to long-term borrowings and the \$205,000,000 reduction of long-term debt borrowed in connection with the cash tender offer in fiscal 1984. The Company's current ratio (current assets ÷ current liabilities) as of June 30, 1985 remained at a strong level—3.88 to 1. The current ratio at June 30, 1984 was 4.46 to 1 compared to 4.42 to 1 at June 30, 1983.

One of the Company's largest recurring uses of working capital is for capital expenditures. The Company spent more than \$79,000,000 for capital expenditures in fiscal 1985. During fiscal 1984, fixed asset additions, not including the \$20,688,000 of fixed assets related to the O'Sullivan purchase, totaled \$60,988,000. Additions for fiscal 1983 were \$74,876,000. Since most of the Company's retail operations are in leased facilities, the Company's capital outlays are primarily for store fixtures and leasehold improvements rather than land and buildings. The average cost of leasehold improvements, store fixtures and signs for company-owned stores, excluding Computer Centers and Telephone Centers, opened in the United States in fiscal

1985 was approximately \$60,800. The average cost for fiscal 1984 was about \$54,000. In fiscal 1984 the number of high-cost stores opened in exclusive, metropolitan retail locations was less than the number opened in 1983 resulting in a lower average cost for store openings in 1984 than the 1983 cost of \$70,700. Fixed asset costs for new Computer Centers/Telephone Centers are not significantly different from the expenditures for regular Radio Shack stores. Company-owned stores opened worldwide, net of closings, in fiscal 1985 were 135 compared to 149 in fiscal 1984 and 260 in 1983.

Sales of self-manufactured products as a percentage of sales increased from 49% in 1981 to a high of 57% in 1983, but declined to 54% in fiscal 1984 and to 50% in 1985. Self-manufacturing plays a major role in the Company's growth by allowing reactions to changes in the marketplace. In recent years the Company has expanded not only its manufacturing capacity, but the types of products it can manufacture. While sales of computer products were a major reason for the increase in the percentage of sales of self-manufactured products to total sales during the three years ended June 30, 1983, the pressures on prices of computer products in fiscal 1984 and 1985 negatively affected this percentage during the last two years. In fiscal 1985 expenditures for manufacturing operations totaled \$24,464,000. Average non-cash assets invested in manufacturing showed a large increase in fiscal 1984 because of the acquisition of O'Sullivan, a manufacturer of consumer electronic stands, racks, desks and accessories. In addition to the O'Sullivan acquisition, approximately \$17,000,000 was expended in fiscal 1984 for expansion of manufacturing facilities. In the latter part of fiscal 1982 the video and audio tape manufacturing operations of Memtek Products were acquired.

The analysis of changes in working capital on pages 32 and 33 details the changes in

Capital Expenditures by Operating Areas

	Year Ended June 30,				
In thousands.	1985	1984	1983	1982	1981
Stores	\$44,355	\$34,786	\$37,915	\$41,288	\$34,013
Manufacturing	24,464	37,491	18,461	20,370	8,460
Warehouse	4,022	1,421	8,201	1,414	451
Other	6,282	7,551	10,097	5,903	6,342
	<u>79,123</u>	<u>81,249</u>	<u>74,674</u>	<u>68,975</u>	<u>49,266</u>
Tandy Center	455	427	202	923	1,491
Net retirements	(4,167)	(3,844)	(2,201)	(2,220)	(2,263)
	<u>\$75,411</u>	<u>\$77,832</u>	<u>\$72,675</u>	<u>\$67,678</u>	<u>\$48,494</u>

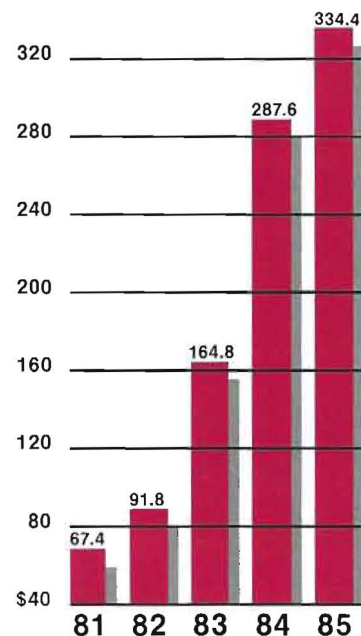
the components of working capital. Working capital increased to \$1,081,740,000 at June 30, 1985 from \$953,165,000 at the end of fiscal 1984. Inventories, the largest component of working capital, increased by \$286,891,000 between the end of fiscal 1984 and 1985. A shortage of semiconductors created problems in replenishing certain categories of merchandise during fiscal 1984, but in fiscal 1985 there were generally few problems in obtaining merchandise. The introduction of new computer products and related software in late fiscal 1984 and 1985 increased inventories. The average investment in inventories for new Radio Shack-U.S. stores increased from \$62,600 in fiscal 1983 to \$64,900 in 1984 and \$70,000 in 1985. Initial inventories for new Computer Centers and Telephone Centers in the United States were approximately \$146,000 in fiscal 1985 compared to \$120,000 in 1984 and \$132,000 in 1983. These amounts do not include the warehouse inventories required to support the store system. The lower level of cash and short-term investments at June 30, 1985 reflects the decline in operating income during the year and the use of cash for the Scott-McDuff acquisition and the purchase of \$144,448,000 of stock for treasury on the open market. The averages of month-end cash and short-term investments were approximately \$92,882,000 in 1985 compared to \$263,367,000 in 1984 and \$188,000,000 in 1983. The fiscal 1985 averages were affected by the large expenditures in fiscal 1984 for the O'Sullivan acquisition and stock repurchases. Higher levels of cash and short-term investments were maintained in fiscal 1984 than in fiscal 1983 because the major cash expenditures were not made until the middle or latter portions of the year. Accounts and notes receivable have increased in recent years with the growth in sales of high-dollar computer

equipment. Consequently, with the decline in computer sales during fiscal 1985 the receivables related to this type of sales also declined.

The Company's long-term borrowing capability is enhanced by its low long-term debt-to-equity ratio. This ratio, .42 to 1 at June 30, 1985, is slightly higher than the .35 to 1 at the end of fiscal 1984. The increase in this ratio reflects the issuance of \$300,000,000 of senior notes in December 1984 which were used to refinance the borrowings originally incurred in connection with the \$205,000,000 cash tender offer during the latter part of fiscal 1984. This ratio had also increased from .12 to 1 at June 30, 1983 to .35 to 1 at the end of fiscal 1984 because of the increase in long-term indebtedness and the decrease in stockholders' equity that resulted from the cash tender offer in fiscal 1984. The financial strength of the Company, based on its historical and current operations and balance sheets, is such that management is confident adequate funds could be raised in the long-term debt market at competitive rates if necessary. However, the Company has no immediate plans for any additional long-term financing—debt or equity.

The Company had available domestic seasonal bank credit and acceptance lines totaling more than \$550,000,000 at June 30, 1985 and \$255,000,000 at June 30, 1984. Borrowings outstanding on these lines at June 30, 1985 were \$58,500,000. No borrowings were outstanding at the end of 1984. In addition, available foreign lines of credit were \$234,000,000 at June 30, 1985 with less than \$75,000,000 outstanding at that time. Management believes the Company's short-term credit lines can be expanded as needed. A more complete outline of the Company's year-end borrowings is detailed in the discussion of the Balance Sheet.

**AVERAGE NON-CASH ASSETS
INVESTED IN MANUFACTURING**
(UNAUDITED) (IN MILLIONS OF DOLLARS)



The Realistic® 12-Band Stereo Frequency Equalizer has 24 tone controls for an almost infinite combination of settings to compensate for any listening environment or preference. A built-in expander circuit enhances the stereo sound "image".

Property and Equipment

In thousands.

	Balance at Beginning of Period	Additions at Cost	Retirements and Sales	Other	Balance at End of Period
Year Ended June 30, 1985					
Consumer electronics operations:					
Land	\$ 5,481	\$ —	\$ —	\$ (346)	\$ 5,135
Buildings	47,762	9,993	(42)	(1,565)	56,148
Furniture, fixtures and equipment	208,041	51,628	(9,082)	(2,925)	247,662
Leasehold improvements	131,174	17,502	(2,049)	(2,104)	144,523
	<u>392,458</u>	<u>79,123</u>	<u>(11,173)</u>	<u>(6,940)</u>	<u>453,468</u>
Tandy Center:					
Land	8,924	204	—	—	9,128
Buildings and other	69,381	251	—	—	69,632
	<u>78,305</u>	<u>455</u>	<u>—</u>	<u>—</u>	<u>78,760</u>
	<u>\$470,763</u>	<u>\$79,578</u>	<u>\$(11,173)</u>	<u>\$(6,940)</u>	<u>\$532,228</u>
Year Ended June 30, 1984					
Consumer electronics operations:					
Land	\$ 4,989	\$ 641	\$ (164)	\$ 15	\$ 5,481
Buildings	33,800	14,688	(349)	(377)	47,762
Furniture, fixtures and equipment	170,921	48,826	(8,959)	(2,747)	208,041
Leasehold improvements	117,410	17,094	(1,259)	(2,071)	131,174
	<u>327,120</u>	<u>81,249</u>	<u>(10,731)</u>	<u>(5,180)</u>	<u>392,458</u>
Tandy Center:					
Land	8,611	313	—	—	8,924
Buildings and other	69,267	114	—	—	69,381
	<u>77,878</u>	<u>427</u>	<u>—</u>	<u>—</u>	<u>78,305</u>
	<u>\$404,998</u>	<u>\$81,676</u>	<u>\$(10,731)</u>	<u>\$(5,180)</u>	<u>\$470,763</u>
Year Ended June 30, 1983					
Consumer electronics operations:					
Land	\$ 3,825	\$ 1,356	\$ —	\$ (192)	\$ 4,989
Buildings	22,497	11,662	—	(359)	33,800
Furniture, fixtures and equipment	141,312	35,706	(5,326)	(771)	170,921
Leasehold improvements	94,044	25,950	(1,164)	(1,420)	117,410
	<u>261,678</u>	<u>74,674</u>	<u>(6,490)</u>	<u>(2,742)</u>	<u>327,120</u>
Tandy Center:					
Land	8,611	—	—	—	8,611
Buildings and other	69,066	202	(1)	—	69,267
	<u>77,677</u>	<u>202</u>	<u>(1)</u>	<u>—</u>	<u>77,878</u>
	<u>\$339,355</u>	<u>\$74,876</u>	<u>\$ (6,491)</u>	<u>\$(2,742)</u>	<u>\$404,998</u>

Efficient, fast printing means no long delays for time-sensitive reports. The DMP 2200 dot-matrix printer offers the deluxe features required for quality printing at speeds of up to 380 characters per second.



Accumulated Depreciation

In thousands.

Balance at
Beginning
of Period

Depreciation
Expense

Retirements
and Sales

Other

Balance at
End of
Period

Year Ended June 30, 1985

Consumer electronics operations:

Buildings	\$ 6,283	\$ 1,666	\$ (3)	\$ (44)	\$ 7,902
Furniture, fixtures and equipment	103,621	29,935	(5,876)	(1,505)	126,175
Leasehold improvements	54,853	14,774	(1,127)	(1,013)	67,487
	<u>164,757</u>	<u>46,375</u>	<u>(7,006)</u>	<u>(2,562)</u>	<u>201,564</u>

Tandy Center:

Buildings and other	17,152	2,883	—	—	20,035
	<u>\$181,909</u>	<u>\$49,258</u>	<u>\$(7,006)</u>	<u>\$(2,562)</u>	<u>\$221,599</u>

Year Ended June 30, 1984

Consumer electronics operations:

Buildings	\$ 4,932	\$ 1,489	\$ (116)	\$ (22)	\$ 6,283
Furniture, fixtures and equipment	84,759	26,298	(5,763)	(1,673)	103,621
Leasehold improvements	43,425	13,353	(1,008)	(917)	54,853
	<u>133,116</u>	<u>41,140</u>	<u>(6,887)</u>	<u>(2,612)</u>	<u>164,757</u>

Tandy Center:

Buildings and other	14,262	2,890	—	—	17,152
	<u>\$147,378</u>	<u>\$44,030</u>	<u>\$(6,887)</u>	<u>\$(2,612)</u>	<u>\$181,909</u>

Year Ended June 30, 1983

Consumer electronics operations:

Buildings	\$ 3,985	\$ 927	\$ —	\$ 20	\$ 4,932
Furniture, fixtures and equipment	65,844	22,686	(3,593)	(178)	84,759
Leasehold improvements	33,171	11,369	(697)	(418)	43,425
	<u>103,000</u>	<u>34,982</u>	<u>(4,290)</u>	<u>(576)</u>	<u>133,116</u>

Tandy Center:

Buildings and other	11,360	2,902	—	—	14,262
	<u>\$114,360</u>	<u>\$37,884</u>	<u>\$(4,290)</u>	<u>\$ (576)</u>	<u>\$147,378</u>

Note: With the adoption of FAS No. 52, Foreign Currency Translation, the foreign fixed assets and related accumulated depreciation are translated into U.S. dollars at the rates in effect at the date of the balance sheet. The amounts shown in the "Other" column reflect the changes in currency values between the balance sheet dates.



At half the introductory price of Realistic's first LCD TV, the new PocketVision®-2 has a 2"-diagonal monochrome picture that is enjoyable anywhere.

Income Statement Adjusted for Changing Prices

(Unaudited)

Tandy Corporation and Subsidiaries

In thousands.

	Year Ended June 30, 1985	
	As Reported (Historical Costs)	Adjusted for Specific Prices (Current Costs)
Net sales and operating revenues	\$2,841,434	\$2,841,434
Other income	11,530	11,530
	<u>2,852,964</u>	<u>2,852,964</u>
Costs and expenses:		
Cost of products sold	1,291,789	1,304,447
Selling, general and administrative	1,102,135	1,102,135
Depreciation and amortization	51,947	72,297
Interest expense, net of interest income	55,682	55,682
	<u>2,501,553</u>	<u>2,534,561</u>
Income before income taxes	351,411	318,403
Provision for income taxes	162,351	162,351
Net income	<u>\$ 189,060</u>	<u>\$ 156,052</u>
Net income per average common share	<u>\$2.11</u>	<u>\$1.74</u>
Stockholders' equity at year end	<u>\$1,063,454</u>	<u>\$1,166,178</u>

At June 30, 1985, the current cost of inventory was \$1,191,416,000 (historical amount—\$1,197,421,000) and the current cost of property and equipment, net of accumulated depreciation, was \$438,892,000 (historical amount—\$310,629,000).

Financial Accounting Standards Board's Statement No. 33, Financial Reporting and Changing Prices, requires disclosure of certain supplementary information concerning the impact of inflation on the Company's primary financial statements which are prepared under the concept of historical cost. FAS No. 33 requires disclosure of selected data under two sets of assumptions—current cost and constant dollars. FAS No. 82 issued in November 1984 eliminated the reporting of constant dollar information.

Current cost disclosures require adjustment of inventories, property and equipment, cost of products sold and depreciation expense. This method is based on the assumption that the Company would replace its entire inventory and facilities with identical assets at fiscal year end. The computation of current cost information was made using internally and externally generated indices using methods similar to those in the primary financial statements.

The effects of inflation on current cost data are based upon the Consumer Price

Index-All Urban Users (CPI-U) for domestic and foreign operations. Current cost foreign translation effects are net of \$16,354,000 of deferred income taxes, the same as in the primary financial statements.

As required by FAS No. 33, current cost net income is before holding gains or losses. The holding gains experienced by the Company the last five years are a result of having a net monetary liability position during an inflationary period. These gains have increased in each of the past two years due to an increasing net monetary liability position in spite of a relatively low inflation rate as measured by the CPI-U. The increase in the average CPI-U for fiscal 1985 was 3.9% compared to 3.7% in 1984, 4.3% in 1983, 8.7% in 1982 and 11.5% in 1981.

Adjusted pre-tax earnings under the current cost method were below that reported in the primary financial statements. Since FAS No. 33 does not provide for restatement of income taxes, the effective tax rate under the current cost method was 51.0% compared to 46.2% in the primary financial statements.

Selected Supplemental Financial Data

(Unaudited)

Tandy Corporation and Subsidiaries

In thousands.

	Year Ended June 30,				
	1985	1984	1983	1982	1981
Net sales and operating revenues:					
As reported	\$2,841,434	\$2,775,496	\$2,506,454	\$2,050,735	\$1,698,853
Adjusted for general inflation	\$2,841,434	\$2,883,821	\$2,699,914	\$2,304,622	\$2,074,775
Net income:					
As reported	\$ 189,060	\$ 281,871	\$ 278,521	\$ 224,085	\$ 169,602
Adjusted for specific price changes	\$ 156,052	\$ 259,547	\$ 271,615	\$ 225,440	\$ 163,801
Net income per average common share:					
As reported	\$2.11	\$2.75	\$2.67	\$2.17	\$1.65
Adjusted for specific price changes	\$1.74	\$2.54	\$2.60	\$2.18	\$1.60
Excess of increase in general price level over increase in specific prices	\$ 13,431	\$ (11,039)	\$ (13,007)	\$ 5,393	\$ 38,229
Purchasing power gain from holding net monetary liabilities during the year	\$ 15,289	\$ 5,796	\$ 1,250	\$ 9,348	\$ 26,088
Foreign currency translation effects, net of income taxes	\$ (17,193)	\$ (16,718)	\$ (7,034)	\$ (26,760)	
Net assets at year end:					
As reported	\$1,063,454	\$ 988,696	\$1,120,872	\$ 812,677	\$ 571,863
Adjusted for specific price changes	\$1,166,178	\$1,136,865	\$1,302,563	\$ 988,087	\$ 758,969
Total assets (as reported)	\$1,922,978	\$1,652,444	\$1,581,908	\$1,227,644	\$ 936,545
Total long-term liabilities (as reported)	\$ 484,495	\$ 388,362	\$ 174,937	\$ 182,099	\$ 160,902
Cash dividends per common share	NONE	NONE	NONE	NONE	NONE
Market price per common share at year end:					
Historical	\$35.75	\$26.00	\$50.75	\$27.75	\$30.88
Adjusted for general inflation	\$35.14	\$26.51	\$53.94	\$30.26	\$36.05
Average consumer price index	316.8	304.9	294.1	281.9	259.4

In thousands, except per share and index amounts. Per share amounts restated for two-for-one stock splits in May 1981 and December 1980. Amounts adjusted for general inflation and specific price changes are in average 1985 dollars.

TANDY CORPORATION BOARD OF DIRECTORS

John V. Roach^{3,4}

Chairman of the Board,
Chief Executive Officer and
President
Tandy Corporation
Fort Worth, Texas

Donald L. Bryant⁴

Business Consultant, Boynton
Beach, Florida;
Business Executive-in-Residence,
Texas Christian University, Fort
Worth, Texas;
Retired Executive Vice President,
The Equitable
Life Assurance Society, New York

William C. Conner^{1,2}

Co-Founder and Chairman
Emeritus
Alcon Laboratories, Inc.
Chairman, Hearing Health Group,
Inc.;
Chairman, Capital National Bank
Fort Worth, Texas

Lawrence E. Dempsey¹

President
Batavia Enterprises, Inc.
Batavia, Illinois

Lewis F. Kornfeld, Jr.^{1,3}

Retired Vice Chairman, Executive
Vice President, Tandy Corporation;
Retired President, Radio Shack
Fort Worth, Texas

Robert R. Lowdon^{3,4}

Chairman, Stafford-Lowdon, Web
Division
Fort Worth, Texas

George R. Nugent^{1,3}

Former Chairman and Chief
Executive Officer
Tandycrafts, Inc.
Fort Worth, Texas

William T. Smith^{2,4}

Chairman and Chief Executive
Officer
Champlin Petroleum Company
Fort Worth, Texas

Alfred J. Stein²

Chairman and Chief Executive
Officer
VLSI Technology, Inc.
San Jose, California

William E. Tucker^{1,2}

Chancellor
Texas Christian University
Fort Worth, Texas

Jesse L. Upchurch^{2,3}

Chairman, Chief Executive Officer
and President, Upchurch
Corporation
Fort Worth, Texas

John A. Wilson^{1,4}

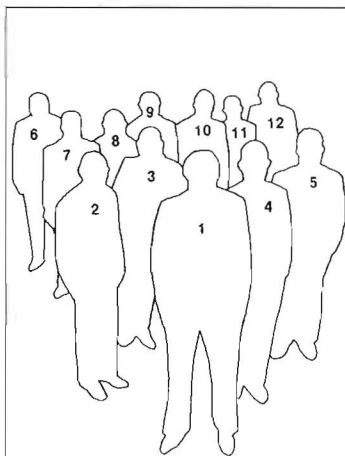
Chairman, Chief Executive Officer
and President, Color Tile, Inc.
Fort Worth, Texas

¹Member of Audit Committee

²Member of Organization and
Compensation Committee

³Member of Executive Committee

⁴Member of Nominating Committee



- 1 John V. Roach
- 2 William E. Tucker
- 3 George R. Nugent
- 4 Lewis F. Kornfeld, Jr.
- 5 Alfred J. Stein
- 6 William T. Smith
- 7 John A. Wilson
- 8 William C. Conner
- 9 Robert R. Lowdon
- 10 Lawrence E. Dempsey
- 11 Jesse L. Upchurch
- 12 Donald L. Bryant

TANDY CORPORATION OFFICERS

		Age	Years with Company*
John Roach	Chairman of the Board, Chief Executive Officer and President	46	18
John McDaniel	Senior Vice President and Controller	67	19
Charles Tindall	Senior Vice President and Treasurer	59	19
Herschel Winn	Senior Vice President and Secretary	53	16
George Kuhnreich	Vice President	60	8
Billy Roland	Vice President	59	31
Loyd Turner	Vice President	67	13
Don Bock	Assistant Treasurer	42	17
Louis Neumann	Assistant Secretary	52	11

Major Division and Subsidiary Management

Bernard Appel	President, Radio Shack	53	26
David Christopher	Senior Vice President, Tandy Trading International	42	18
Robert Keto	Senior Vice President, Radio Shack-Canada	44	21
Robert McClure	Senior Vice President, Tandy Manufacturing	49	13
James Nichols	Senior Vice President, Radio Shack-U.S. Retail Operations	41	16
Ron Stegall	Senior Vice President, Radio Shack-Business Products Division	37	15
Robert Owens	Vice President, Tandy International Electronics-Europe Brussels, Belgium	48	24
Dick Richards	Vice President, Tandy International Electronics-Europe Brussels, Belgium	49	20
Mike Murray	Vice President, Tandy Trading International-Australia Sydney, Australia	36	17
John Sayers	Managing Director, Tandy International Electronics-United Kingdom Birmingham, England	45	11
Elaine Yamagata	President, A & A Trading Company Fort Worth, Texas and Tokyo, Japan	63	30
John Battaglia	General Manager, Memtek Products Santa Clara, California	40	15
Tom O'Sullivan	President, O'Sullivan Industries, Inc. Lamar, Missouri	62	31
Clint Thomas	President, Scott-McDuff Corporation Memphis, Tennessee	53	23

*Includes prior service with companies acquired by Tandy Corporation.

CORPORATE DATA

Corporate Offices

1800 One Tandy Center
Fort Worth, Texas
(817) 390-3700

Annual Meeting

10 a.m., November 14, 1985
Worthington Hotel
(formerly Americana Hotel)
200 West Second Street
Fort Worth, Texas

Common Stock

Transfer Agents
First National Bank of Boston
Texas American Bank/
Fort Worth N. A.
Registrars
First National Bank of Boston
InterFirst Bank Fort Worth, N. A.

10% Subordinated Debentures, due 1991

Transfer Agent, Registrar and Trustee
InterFirst Bank Fort Worth, N. A.
Authenticating Agent
Manufacturers Hanover Trust Company, New York

10% Subordinated Debentures, due 1994

Transfer Agent, Registrar and Trustee
Texas American Bank/
Fort Worth N. A.
Authenticating Agent
Chase Manhattan Bank, New York

10¹/₈% Senior Notes, due 1987 and 11% Senior Notes, due 1989

Trustee
First National Bank of Boston
Transfer Agent, Authenticating Agent and Registrar
BancBoston Clearing Corp. New York

Stock Exchange Listing

New York Stock Exchange
Common Stock
(Ticker Symbol "TAN")
10% Subordinated Debentures, due 1991
10% Subordinated Debentures, due 1994

Form 10-K Available

Tandy Corporation's Annual Report to the Securities and Exchange Commission may be obtained without charge after September 30, 1985 by writing Tandy Corporation Shareholder Services Department, 1800 One Tandy Center, P.O. Box 17180, Fort Worth, Texas 76102; or by telephone (817) 390-3024.

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TANDY CORPORATION

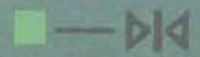
1800 One Tandy Center, Fort Worth, Texas 76102

INTEGRATED
STEREO
COMPONENT
SYSTEM

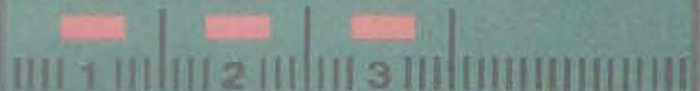
PLL QUARTZ



FM STEREO



AM/FM TUNED



SIGNAL STRENGTH



DOLEY B-C NR

REALISTIC'S

SUPERTAPE

METAL

90

SIDE

DO